

IDB FOR CITIES & REGIONS

PROPOSAL FOR A SUB-SOVEREIGN FINANCE PROGRAM AT THE INTER-AMERICAN DEVELOPMENT BANK

June 2025

This document was prepared under the supervision of Juan Pablo Bonilla (CSD) and Emilio Pineda (IFD) by a Working Group comprising Tatiana Gallego Lizon and Maria Camila Uribe (CSD); Axel Radics and Andrés Muñoz (IFD); Juan Manuel Puerta and Gabriel Filc (SPD); Guillermo Eschoyez and Esteban de Dobrzynski (LEG); Gustavo de Rosa, Ramón Ruiz, Ian MacDonald, Alexandre Borges, Yasser Rezvi, Catalina Ventrell and Maximo Silberberg (FIN); Søren Elbech, Ximena Giraud, Alfredo Rodriguez, Emmanuel Baez, Adriana Avalos and Daniela Serrano (RMG); Maria Julia Bocco and Mauro Alem (INE); Juanita Riaño and Raquel Mayer (OII); Santiago Schneider and Karina Diaz Briones (FMP); Chiaki Yamamoto (EVP); Serge Troch (ESG); Santiago Monroy (GPO); Manuel Pacheco (VPC); Claudia Suaznabar, Mauricio Lopez Prada and Wilkferg Vanegas (VPS); Elizabeth Robberechts (INO).

Under the Access to Information Policy, this document is subject to Public Disclosure.

* This document contains confidential information in Section 5.B, Annex 6, and Annex 1, which is subject to non-disclosure according to the IDB's Access to Information Policy. Section 5.B and Annex 6 will not be disclosed under exception 4.1 h, "Certain Financial Information." Additionally, Annex 1 will not be disclosed under exception 4.1 e, "Information Provided in Confidence." Once authorization is obtained from the other multilateral development agencies, Annex 1 will be disclosed.

CONTENTS

I.	EXECUTIVE SUMMARY	1
II.	BACKGROUND	1
	A. Towards Efficient Territorial Development	1
	B. A Differentiated Approach to SNG Development	2
	C. MDB Experience Lending to SNGs without a Sovereign Guarantee	6
III.	JUSTIFICATION.....	10
	A. Investment Needs.....	11
	B. Fiscal Advances.....	13
	C. Improving Access to Private Sector Financing	14
	D. Changing Financial Architecture.....	15
IV.	PROPOSAL.....	15
	A. Objective of the SFP.....	15
	B. The SFP as a Pilot	19
	C. Operational Considerations.....	21
	D. Pricing Principles and Financial Conditions	25
	E. Monitoring, Reporting and Evaluation.....	26
	F. Supporting Impact + under a Synergistic Approach	28
	G. Organizational Arrangements	29
V.	RISK MANAGEMENT	30
	A. Moral Hazard	30
	B. *	30
	C. Integrity and Fiduciary Risk.....	31
VI.	RECOMMENDATION	31

ANNEXES	
Annex I	*
Annex II	Fiscal and Financial Condition of Iac SNGs – A Preliminary Creditworthiness Analysis
Annex III	Requirements for the Contracting of External Loans by Subnational Governments in LAC – A Preliminary Analysis
Annex IV	Evaluation Framework
Annex V	Preliminary Budgetary Requirements for the Pilot Period
Annex VI	*

APPENDICES	
Appendix I	Proposed Resolution

ABBREVIATIONS	
AFD	French Cooperation Agency
CAF	The Development Bank of Latin America and The Caribbean
CAP	Capital Adequacy Policy
CCR	Capital Coverage Ratio
ESG	Environmental, Social, and Governance Safeguards
EBRD	European Bank for Reconstruction and Development
EIB	European Investment Bank
FFF	Flexible Financing Facility
GDP	Gross Domestic Product
IDB	Inter-American Development Bank
IFC	International Finance Corporation
IFI	International Financial Institution
LAC	Latin America and The Caribbean
NSG	Non-Sovereign Guaranteed
OVE	Office of Evaluation and Oversight
OII	Office of Institutional Integrity
OECD	Organization for Economic Co-operation and Development
PPP	Public-Private Partnership
RMG	Risk Management Group
SG	Sovereign Guaranteed
SOE	State -Owned Enterprise
SNG	Subnational Government
SFP	Sub-Sovereign Finance Program
SDG	Sustainable Development Goals
TC	Technical Cooperation

I. EXECUTIVE SUMMARY

- 1.1 The purpose of this document is to submit to the Board of Executive Directors ('the Board') for its consideration and approval the establishment of a "Sub-Sovereign Finance Program (SFP)", on a 5-year pilot basis, to finance investment loans and guarantees to sub-sovereign eligible entities¹ in borrowing member countries of the Inter-American Development Bank (the "IDB"), without the guarantee and/or counter-guarantee of the sovereign. The general objective of the SFP is to assist eligible subnational governments (SNGs) promote sustainable regions² and local development by improving access to market financing. The specific objectives of the SFP are (i) to strengthen SNGs' fiscal and financial management, (ii) to strengthen SNGs' capacities to structure and implement project pipelines, and (iii) to improve service delivery and infrastructure at the subnational level.
- 1.2 The SFP responds to a differentiated approach to SNG development needs that seeks to promote gradual technical and financial readiness, and which recognizes that there is a segment of cities and regions requiring separate strategic financing modalities allowing them to transition to market borrowing. SNG eligibility, to be subject to financing under the SFP, will be determined, among other requirements³ by: (i) their ability to contract and obtain external financing from the IDB without the guarantee of the sovereign; and (ii) their credit strength, financial viability, legal capacity, and good governance. Project eligibility under the SFP will respond to 3 mutually reinforcing elements: (i) high developmental impact; (ii) preventing private sector financing crowding out, and (iii) improved SNG efficiency and effectiveness.
- 1.3 SFP in its 5-year pilot will consist of the following two subprograms: (i) a sub-sovereign investment finance subprogram for up to US\$1 billion to be funded by the Bank's Ordinary Capital resources (Subprogram 1); and (ii) a technical cooperation (TC) sub-sovereign readiness subprogram (Subprogram 2) to be financed with the Bank's Ordinary Capital resources annually allocated under the Strategic Development Program,

¹ For purposes of this proposal the terms Sub-National Entities (SNEs), Sub-Sovereign Entities (SSEs), and Sub-National Governments (SNGs) shall be used interchangeably and understood as referring to sub-sovereign governments, including states, provinces, departments, and municipalities, depending on a country's political subdivision.

² Regions in this paper refers to second-tier government jurisdictions in different countries, and may include departments, provinces, regions, states and/or any other intermediate levels of government.

³ Legal, operational, financial, and institutional requirements as set forth in the Bank's policies shall also apply for determining the SNGs eligibility.

- and/or donor or partner funds under Bank administration. Resources under Subprogram 2 will be used to provide: (i) non-reimbursable Technical Cooperation (TC) resources for reforms, capacity building and project prefeasibility; and (ii) contingent recovery TC for project design.
- 1.4 Consistent with the IDB Group Institutional Strategy: Transforming for Scale and Impact (CA-631), “Impact+”, the SFP will support its 3 core objectives of bolstering sustainable growth, addressing climate change, and reducing poverty and inequality. SFP will support improved access to services and infrastructure provided by SNGs to their population, and institutional strengthening. The IDB – through its deep understanding of SNGs and its broad expertise in fiscal and financial management, urban planning and development, services and infrastructure, public management and non-sovereign finance areas, among others – is uniquely positioned to help SNGs transition from sovereign guaranteed borrowing to market borrowing and to improve their access to finance. It will do so by guiding SNGs throughout (i) the development and implementation of operations, (ii) building capacities, and (iii) the implementation of local and regional government reforms that will ensure outcome delivery and debt repayment. SFP is consistent with IDB’s Subnational Governments’ Sector Framework.
- 1.5 Experience from several Multilateral Development Banks (MDBs) and International Financial Institutions (IFIs) implementing sub-sovereign lending has been positive, with most operations being on track. This type of financing has promoted ownership among SNGs, placing responsibility on cities and regions to strategically align investments with long term plans, focusing on achieving results, improving creditworthiness and public management systems, and undertaking critical sectoral and commercial reforms. In all cases, and at different scales, this has also developed an important niche of work for several IFIs. The SFP also provides an opportunity for testing risk sharing structures with IFI and commercial partners.
- 1.6 The design, preparation, processing, and implementation of individual operations will be, among other aspects, guided by the terms and conditions set forth in Chapter IV of this document as well as in the operating guidelines to be developed and approved by Management, as may be amended from time to time. Once approved, Management will submit the operating guidelines for information to the Board. The Office of Evaluation (OVE) will conduct an evaluation of the SFP as a lending instrument after the fifth year of implementation and present it to the Board. The evaluation will inform subsequent actions associated with the SFP.

- 1.7 Mitigation measures for risks that may arise from the use of this instrument are also addressed in Chapter V. The risk of moral hazard will be mitigated through deliberate selection of creditworthy borrowers, strict adherence to fiscal responsibility frameworks, fiscal strengthening of pilot SNGs, and IDB's regular monitoring of financial indicators. Credit risk to IDB will be managed through a new credit risk management framework, that includes credit risk assessment of individual operations, exposure limits and pricing provisions. Similarly, any potential integrity or fiduciary risks will be managed through SNG strengthening of governance systems and IDB's quality assurance and review processes.
- 1.8 In addition to this Executive Summary, the document includes a background section (Chapter II); a justification section (Chapter III); the proposal (Chapter IV); risk management considerations (Chapter V), and a final Chapter containing the corresponding recommendations for approval by the Board (Chapter VI).

II. BACKGROUND

A. Towards Efficient Territorial Development

- 2.1 **Latin America and the Caribbean (LAC) SNGs' landscape is complex and diverse.** LAC is home to over 17,000 SNGs, 98 percent of these are municipalities. They comprise regions with both large and sparse populations; urban and rural typologies; and vastly different contributions to the national Gross Domestic Product (GDP), employment growth and productivity. For example, in Brazil, the population densities of states like Rio de Janeiro and Sao Paulo – which are largely urban, industrial and service-based economic power houses jointly contributing over 42 percent of the country's GDP – are 367 and 166 people per sq. km respectively, while those in the states of Amazonas and Roraima – mostly rural and agricultural – are just above 2.5 people per sq. km.
- 2.2 **The case of cities is also compelling.** LAC urbanized more rapidly than any other region in the world. The share of urban population nearly doubled from 49 percent in 1960 to 80 percent in 2015, but these overall figures mask notable differences in the process and degree of urbanization. While LAC has a high level of urban primacy – with the world's largest percentage of its population living in megacities and nearly 15 percent of the total population in its 6 largest cities (UN DESA 2015)⁴ – 90 percent of the municipalities have less than 50,000 inhabitants and more than 30 percent have less than 5,000 inhabitants. There are also vast differences when it comes to economic and social indicators. Overall, cities drive LAC's economic growth but this, in turn, is highly concentrated, with 60% of the GDP generated by the 200 largest cities and 30 percent by 10 megacities alone (McKinsey, 2011).⁵ While income inequality in the region, as measured by the Gini coefficient, remains generally high at 0.499 (World Bank, 2024),⁶ it is also higher in cities, with an average 0.29 percent increase in income inequality associated with a 10 percent increase in city population (World Bank, 2018)⁷. As in other parts of the emerging world, LAC's skilled force⁸ and technology are disproportionally concentrated in large cities.

⁴ United Nations, Department of Economic and Social Affairs, Population Division (UN DESA). 2015. Database on Household Size and Composition. New York.

⁵ [MGI. 2011. Building globally competitive cities: The key to Latin American growth.](#)

⁶ [World Bank. 2024. Regional Poverty. Washington DC.](#)

⁷ [World Bank. 2018. Raising the Bar for Productive Cities in Latin America and the Caribbean. Washington DC](#)

⁸ A recent study associated a 10% increase in city's population with a 2.9% increase in the share of the city's population that is skilled ([World Bank, 2018](#)).

- 2.3 **The performance of SNGs varies across geographies.** The performance of SNGs is a function of the responsibilities vested in them (e.g. service delivery, amenities and public space, social welfare, public order, etc.), the quality of civil service systems,⁹ and administrative capabilities. While, on average, low institutional capacity, limited transparency, and weak management characterize many SNGs across the region, several regional and local governments in LAC perform at par with global referents, applying sound key governance principles, public financial management (including planning, budget management, public investment, and debt management capacities), public procurement and recruitment practices (OECD/IDB. 2024).^{10,11}

B. A Differentiated Approach to SNG Development

- 2.4 **The IDB has been supporting the development of municipal and regional governments through financing of sovereign-guaranteed operations.** Around 28 percent of IDB's active portfolio currently supports SNGs. This is achieved primarily through sovereign guaranteed investment loans and grants to: (i) national programs or projects that support cities, with proceeds mostly transferred as a grant; (ii) financial intermediaries, such as (a) national or state/provincial-level development institutions, established to simultaneously lend and strengthen capacities; and (b) national/regional development banks, which on-lend to SNGs at affordable rates; and (iii) subnational entities (cities, regions).¹² Despite the prevalence of regular investment loans, there are also instances of policy-based lending, results-based lending, conditional credit lines for investment projects and other programmatic instruments that can help build subnational capacities over the medium term, with complementary technical cooperation for institutional and financial strengthening. In addition, IDB Invest finances public-private partnerships (PPPs), primarily concessions associated with urban services, and municipal companies.

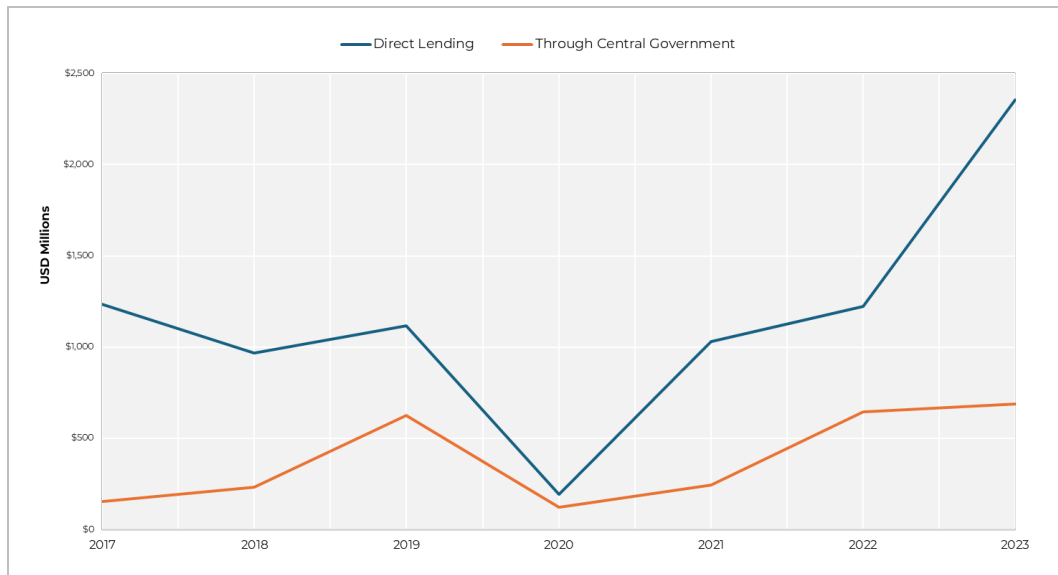
⁹ [M. Grindle. 2010. Constructing, Deconstructing, and Reconstructing Career Civil Service Systems in Latin America. Harvard.](#)

¹⁰ [OECD. 2024. Government at a Glance: Latin America and the Caribbean 2024. Paris.](#)

¹¹ [IDB. 2019. The Model Government Ecosystem in the City of Buenos Aires. Washington DC.](#)

¹² Direct lending to cities and SNGs is over 20% of IDB's active portfolio (mainly in Brazil and Argentina, with fewer operations in Colombia, Ecuador, and Uruguay), while a further 8% supports SNGs through national programs.

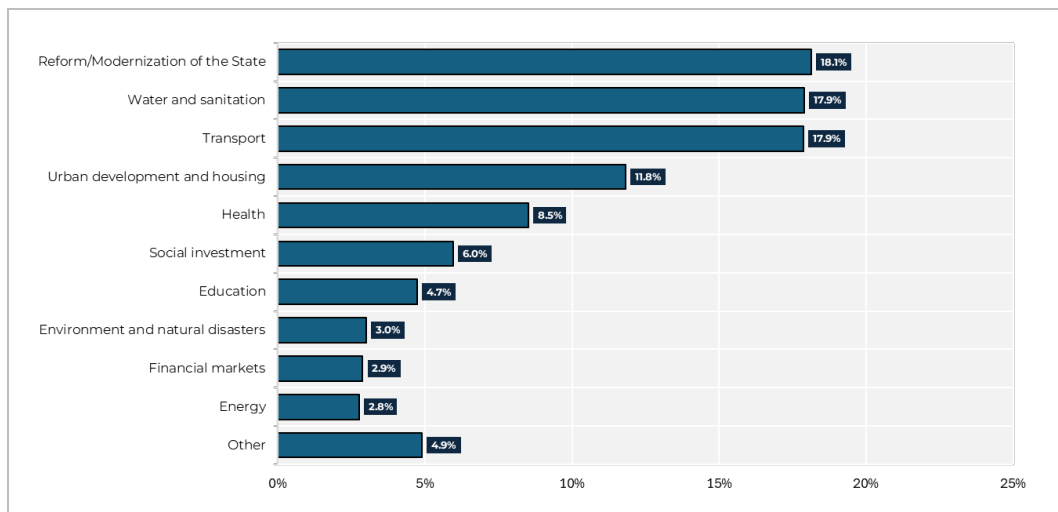
Figure 1: Total sovereign lending approvals to SNGs



Source: Project Team Analysis of IDB's Portfolio

- 2.5 In the current public sector portfolio, infrastructure sectors (water and transport), modernization of the state and urban development are responsible for the largest share of lending, jointly amounting to approximately 66% of the total value.

Figure 2: Percentage direct lending to SNGs (with Sovereign Guarantee) by sector



Source: Project Team Analysis of IDB's Portfolio

- 2.6 **Lessons from two major IDB urban initiatives, the Emerging and Sustainable Cities Initiative (ESCI)¹³ and PROCIDADES,¹⁴ can provide useful insights.** OVE's mid-term thematic evaluation¹⁵ of ESCI concluded that (i) such programs provided cities with increased access to knowledge and best practices, and (ii) the initiative was found most successful in the presence of strong political decentralization, subnational fiscal capacity, planning capabilities, support from development partners, and demand from intermediate cities. A study conducted by OVE¹⁶ on PROCIDADES concluded that municipalities that benefitted most from the program were those that had an initial minimum level of institutional capacity, which allowed them to handle the project and further strengthen their ability to work on urban development. The evaluation suggested (i) forming long-term partnerships with them and linking loan amounts to their levels of capacity; (ii) when pursuing innovative approaches with subnational governments, start small and put strong emphasis on properly assessing costs, benefits, and potential risks; (iii) allocating resources for institutional strengthening for municipalities with lower institutional capacity; and (iv) creating mechanisms for project sustainability.¹⁷
- 2.7 **Different conditions require different solutions to promote gradual technical and financial readiness.** The diverse nature of SNGs in LAC – size, vulnerability, technical and financial capabilities, capacity to take and manage debt, etc. – calls for the development of a differentiated operational approach that responds to country- and local-context and specific SNG needs and capacities. Figure 3 recognizes the potential for gradual growth and suggests appropriate financing modalities which progressively encourage the transfer from grants to borrowing, from concessional to commercial terms and, ultimately, from public to private sector financing. To achieve this, IDB needs to expand its instrument offering to include sub-sovereign finance (a form of finance to subnational entities without the guarantee of the sovereign), as an instrument for SNGs capable to take and manage debt seeking to finance projects whose repayment can be funded from the revenue that

¹³ ESCI was a non-reimbursable technical assistance program for midsize cities launched in 2012 which relied on a three-pronged multidisciplinary methodology that combined indicators and diagnostics of urban expansion, climate and municipal fiscal management, leading to the prioritization of investments which were consolidated into an action plan.

¹⁴ PROCIDADES was a facility for financing integrated urban interventions by lending directly to Brazilian municipalities. It was adopted in 2006 to promote integrated urban development while reaching a large pool of medium-sized cities.

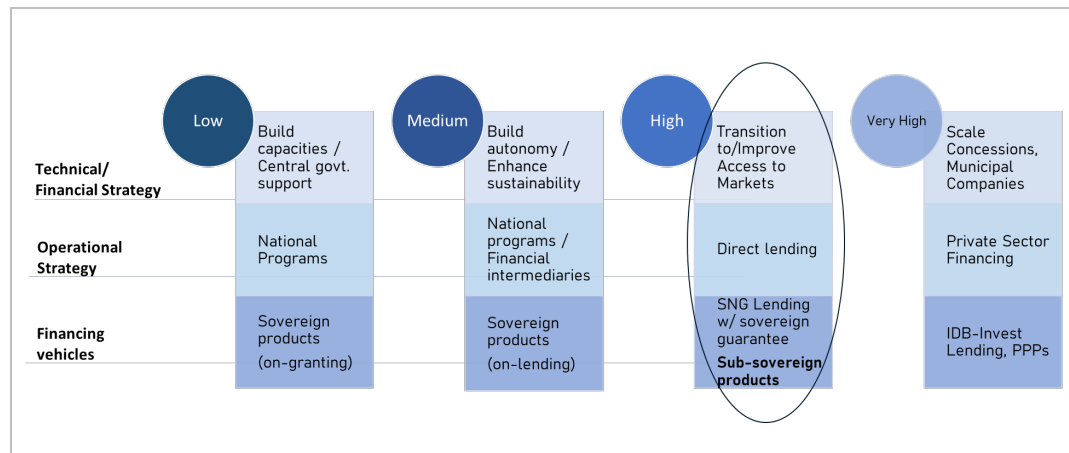
¹⁵ [IDB. 2016. Evaluation of the IDB's Emerging and Sustainable Cities Initiative. Office of Evaluation and Oversight. Washington DC.](#)

¹⁶ [IDB. 2015. Evaluation of PROCIDADES. Office of Evaluation and Oversight. Washington DC.](#)

¹⁷ IDB's Cities Network and IDB's Fiscal Decentralization Network have played a critical role in building capacities, providing opportunities for exchange, and generating knowledge.

will be generated from the project, from the revenue account of the SNG, or a mix of these.

Figure 3: Operational Framework for SNGs with Different Levels of Technical and Financial Readiness



Source: Project Team Analysis

- 2.8 **Sub-sovereign lending is complementary to sovereign and private sector lending.** It acknowledges the need for central governments to divest greater responsibilities for public services on SNGs, while accepting that these entities may not yet be sufficiently appealing to private sector investors. This approach aims to strengthen frameworks and systems in SNGs, make them increasingly creditworthy and enhance their capacity to attract financing from private sources. IDB's long-standing relation with SNGs and its mandate to build capacities is instrumental in this transition.
- 2.9 **Beyond the sovereign guarantee: sub-sovereign finance can bring benefits to both SNGs and national governments.** Sub-sovereign finance seeks to improve fiscal autonomy of SNGs, ensuring they have the resources and mechanisms to repay their debts without relying on bailouts from the national government. This enhanced fiscal autonomy is an important component of a subnational development strategy, since it entails improving SNG capacity to mobilize own resources for development projects; reduces negative incentives in SNG management related to bailouts; and mitigates a fiscal risk for the central government. In addition, sub-sovereign finance can also help enhance SNGs' capacities to prepare projects through improved structuring, including risk analysis and risk sharing, identify additional revenue flows, and adopt commercial lending terms and conditions.

- 2.10 **Sub-sovereign finance is also consistent with the recently approved Subnational Governments Sector Framework.**¹⁸ Sub-sovereign finance supports, among others, efforts to: (i) improve intergovernmental arrangements, including subnational fiscal responsibility frameworks and fiscal monitoring mechanisms, oriented to enhance the creditworthiness and autonomy of SNGs; (ii) encourage greater efficiency and quality in expenditure and service delivery by SNGs; (iii) increase the mobilization of own-source revenue and responsible access to finance on the part of SNGs, (iv) enhance fiscal transparency of SNGs; and (v) improve the contribution of SNGs to managing climate change.
- 2.11 **IDB, through Impact+, is uniquely positioned to help SNGs transition to/improve sub-sovereign borrowing.** As highlighted in the IDB Group Institutional Strategy, financial instruments are critical to enhance the scale and impact of the IDB Group interventions, including through mechanisms to support subnational governments and State-Owned Enterprises (SOEs), always with the principle of avoiding the crowding out of private sector investments.¹⁹ IDB's well-established relationship with subnational clients and the Group's broad expertise (in sectors such as urban planning and development, fiscal and public management, capital market development, infrastructure and PPPs) will be pivotal not only to engage in necessary pre-transaction reforms and capacity building programs,²⁰ but also to support project implementation and project post-completion phases.

C. MDB Experience Lending to SNGs without a Sovereign Guarantee

- 2.12 **Several multilateral and bilateral agencies support sub-national development finance offering loans and credit enhancements directly to sub-national entities.** This includes IFIs such as the European Bank for Reconstruction and Development (EBRD), the European Investment Bank (EIB), the Multilateral Investment Guarantee Agency (MIGA), and the International Finance Corporation (IFC), through its Subnational Finance Program; as well as bilateral agencies like the French Cooperation Agency (AFD), through direct subnational lending, or the Swedish International Development Cooperation Agency or the US Trade and Development Agency, through the issuance of guarantees. Other IFIs, like the Asian Development Bank, have a non-sovereign public sector instrument, and are considering expanding operations with SNGs. EBRD, AFD and IFC have successfully mainstreamed this type

¹⁸ Decentralization and Subnational Governments Sector Framework (GN-2813-13).

¹⁹ [IDB Group Institutional Strategy: Transforming for Scale and Impact \(document CA-631\)](#).

²⁰ This may include, for example, local sectoral reforms, municipal governance, enhanced regulatory frameworks, improved tariff/tax regimes, public management, improved service standards, or financial and debt management.

of lending into their operations, offering loans on commercial terms, with very low rates of non-performing assets, and a growing portfolio. A more detailed assessment is in Annex I.

- 2.13 **Several IFIs already extend sub-sovereign finance to SNGs in LAC.** Since 2017, the IFC, and more recently, AFD and the Development Bank of Latin America and The Caribbean (CAF) have approved 10 non-sovereign guaranteed (NSG) loans to SNGs in 4 countries in LAC (see Table 1) for a total value of around US\$890 million, in a mixture of US\$, Euros and local currency.

Table 1: Non-sovereign Guaranteed Operations in LAC

Year	Borrower	Lender	Value	Currency	Sector	Product
2017	Ciudad Autónoma de Buenos Aires (AR)	IFC	100.0 + 50.0M	US\$	Mobility improvement (metro, BRT, bus)	A + B loans
2017	Provincia de Córdoba (AR)	IFC	100.0 + 50.0M	US\$	Road infrastructure improvements	A + B loans
2019	Bogotá Distrito Capital (CO)	IFC	120.0M	US\$	BRT network expansion	Loan
2019	Bogotá Distrito Capital (CO)	IFC	30.0M	US\$	Cablecar network expansion	Loan
2020	Municipalidad de San Jose (CR)	IFC	eq. US\$ 12.0M	LC	Road & drainage improvement	Loan
2021	Municipalidad de Barranquilla (CO)	AFD	eq. €120M	LC	Urban environmental restoration & flood control	Loan
2022	Fideicomiso Administración de Canelones 2022 (UR)	CAF	12.0M	US\$	Urban public spaces, buildings & mobility improvement	Loan
2023	Municipalidad de Barranquilla (CO)	AFD	eq. €50.0M	LC	Urban environmental restoration & flood control	Loan
2023	Municipalidad de Bogotá (CO)	AFD	eq. €150.0M	LC	Infrastructure (greening, mobility, & waste recovery)	Loan
2024	Provincia de Santa Fe (AR)	AFD	€65M	Euro	Biodiversity	Loan

Source: Project team analysis from publicly available data and interviews.

- 2.14 **Outside the region, the EBRD has valuable long-standing experience.** With over two decades of experience lending to local and regional authorities (around 250 clients), and a sub-sovereign portfolio of approximately €2 billion, EBRD's Municipal and Environmental Infrastructure sector lends annually around €350-450 million directly to SNGs in support of decentralization, commercialization and green economy transition objectives in Eastern Europe, Central Asia, and North Africa. EBRD's projects typically range €5-100 million in size; with typical tenors of 10-12 years and grace periods adjusted accordingly (typically 3 years). Lending is based on cost-recovery principles and commercial pricing is applied, based on risk. EBRD approaches its clients with long term engagement considerations, thus project design (complemented with technical cooperation resources) incorporates capacity building and targeted institutional development.
- 2.15 **IFC's experience is also relevant.** Established in November 2006, the IFC Subnational Finance program provides senior, subordinated, and convertible loans, partial credit guarantees, risk sharing facilities, equity, and hybrid instruments to creditworthy SNGs and local SOEs. IFC's SNG portfolio is considerably smaller than EBRD's,²¹ focusing on SNGs with strong financial standing, rather than utilities. This has enabled financing of projects without direct revenue potential, but where credit risk was mitigated by the client's overall credit strength. It has allowed in some cases the structuring of A-B loans, bringing in commercial banks as cofinanciers. In addition to non-recourse finance, IFC's subnational finance program provides advisory services, support for PPP structuring and to private sector investment in client cities. In terms of sub-sector exposure, as per recent reports, water/waste-water accounts for 18% of the portfolio, solid waste management for 18%, district cooling for 1%, while the remainder of 63% is categorized as "municipal".
- 2.16 **A few important lessons can be derived from other IFI's experience lending to SNGs without a sovereign guarantee:**
- a. **Enabling environment.** Working with SNGs and their companies might involve working with evolving and untested legal and regulatory frameworks. In some instances, institutions can borrow through asset-holding companies or special purpose vehicles. Conducting legal due diligence in any given country to confirm the adequacy of legal and regulatory systems will be an additional requirement but once completed, it will be applicable to most transactions within the same country.

²¹ As of June 2021, IFC's municipal infrastructure portfolio stood at a total of US\$1.25 billion: 27% of the portfolio was in Latin America and the Caribbean, 35% in Emerging Europe and Central Asia, 20% in the rest of Asia, 27% in the Middle East and North Africa, and 8% in the rest of Africa.

- b. **Business development.** Although sub-sovereign transactions target a well-established group of clients, the instrument requires new and/or additional compliance prerequisites and calls for best practice in public management, which can be resource intensive. To manage risks, loans should be sized conservatively and combined with deep client relations. Sub-sovereign operations are subject to sound banking principles. Although a selected group presents a solid financial standing and sound operating efficiencies, for most SNGs, reforms might be a precondition, requiring continued and long-term engagement with the client.
- c. **Planning and project structuring.** While several large and emerging cities and SNGs in the region have global frontier planning and project design processes, many medium and small cities face heightened barriers due to insufficient or outdated planning instruments, lacking capacity to prepare and structure a pipeline of projects that may attract investment, limited ability to manage procurement and contract execution, as well as ESG and integrity risks. A new program should attend to these.
- d. **Moral Hazard.** Although the rate of default in sub-sovereign lending remains low²² among IFIs, largely thanks to close portfolio monitoring and debt management capacity development among SNGs, default spells may occur occasionally (e.g. in conflict-affected areas). MDB's SNG fiscal and financial management oversight and guidance have been critical, and in rare severe cases, debt restructuring was necessary. IFIs' sub-sovereign lending also accounts for probability of default in their pricing and provisions.
- e. **Transaction Costs.** While sub-sovereign financing project preparation costs might be higher than for sovereign transactions, many IFIs share costs with clients. Mandate letters outline the scope of the project but also include information about the terms of the loan and operational expenses and responsibilities, including TC components and costs to be borne by the client during the project preparation phase.

²² A recent report from the Global Emerging Markets Risk Database ([Default Statistics: Private And Sub-sovereign Lending 1994-2022 - Volume I](#)) highlights that for a global dataset consisting of 1,115 sub-sovereign counterparts (of a total of 10,608), the average default rate for sub-sovereigns over the 1994-2022 period was 2.4% versus a 3.5% default rate for private counterparts. The sub-sovereign exposure for Latin America and the Caribbean in this global study represents 12% of the total.

- f. **Staff Skills.** A limited skills base can be a key factor inhibiting the growth of a sub-sovereign lending portfolio. Project development, financing and structuring, and portfolio management of sub-sovereign operations requires additional complementary skills to those applied in sovereign operations. Retraining, hiring of limited additional staff, and synergies between public and private sector functions can help circumvent some of these challenges.
- g. **Integrated Approaches.** Most successful cases have been grounded on principles of (i) increasing readiness to subnational development, that understands sub-sovereign finance as a complementary instrument to sovereign and non-sovereign private sector finance; (ii) anchoring individual transactions in a more holistic vision of city/regional development and the application of a programmatic approach, which might include other forms of investment; and (iii) adoption of an integrated methodology to support fiscal, planning, technical and execution capabilities at subnational levels and transition to commercial borrowing from private entities.

III. JUSTIFICATION

- 3.1 In 2004, IDB's Management developed and proposed the establishment of a pilot program to enable sub-sovereign lending (GN-2125-5). The pilot program, which supported principles of graduation of IDB's assistance to subnational entities and was to be funded within the 10% limit set aside for Private Sector Operations, was deferred while IDB evaluated new eligible sectors and borrowers for non-sovereign lending²³.
- 3.2 Since then, three structural long-term trends have contributed to the rising demand for sub-sovereign finance: (i) firstly, continuing decentralization processes in many countries of the region have perfected the development of subnational fiscal responsibility frameworks; (ii) secondly, incomplete and continuously transforming urbanization requires of large-scale infrastructure investments to bring cities and SNGs in the region at par with those most productive globally; and (iii) thirdly, capital markets in several countries in LAC have undergone important growth and development, and are not fully utilized by SNGs (as suggested by their low indebtedness levels).

²³ Pursuant to document GN-2125-7, it was considered that the revised proposal regarding subnationals should not be re-submitted to the Policy and Evaluation Committee until the Board had reached some conclusion regarding the overall restructuring of the Bank's support to the private sector.

- 3.3 In addition, the impending effects of recent global crises and increasing frequency and size of natural disasters, have highlighted (i) firstly, the need for effective participation of multiple actors and, with most of the population living in cities in LAC, local governments have a key role to play in advancing adaptation and mitigation agendas, building resiliency and reducing disaster risk in physical spaces and communities, and (ii) secondly, in a post-pandemic recovery phase, leveraging regional and local competitiveness and social agendas, can contribute to reducing territorial disparities.
- 3.4 The proposed SFP highlights complementarities between IDB and IDB Invest in light of the fact that, IDB Invest oversees financing to corporate entities in the region, while IDB is responsible for providing financial and technical support to national and sub-national governments in LAC.²⁴ Sub-sovereign financing can provide a coordinated approach, encompassing sector reforms, alternative structuring, market-based financial products, and de-risking mechanisms, that intentionally prepares SNGs for engaging with private sector actors (investors or lenders) in the medium term.

A. Investment Needs

- 3.5 **Advancing commitments towards meeting Sustainable Development Goals (SDGs) in LAC will require over US\$2,220 billion in water and sanitation, energy, transport, and telecommunication infrastructure by 2030 (IDB, 2021)²⁵, all of which will be essential to raise the region's productivity levels.** Fifty-nine percent of this value will be needed for new infrastructure investment. This would represent an annual investment of 3.12 percent of the GDP, up from the current 1.8 percent. Although these figures include investment needs at all levels, several countries in LAC have entrusted service provision responsibility to subnational governments. For example, in Brazil, Colombia, Ecuador, Guatemala, Mexico and Peru, municipalities oversee water and sanitation, including at times the establishment of dedicated utilities under public or private concession operation. Venezuela has created regional water companies, while state-level water companies also co-exist in all 26 states of Brazil and the Federal District, where they provide services on behalf of some (but not all) municipalities in their respective jurisdiction. Similarly, municipal, and metropolitan transport network companies and municipal departments are primarily responsible for developing and maintaining local metro (19 cities) and light rail, bus, and

²⁴ Pursuant to Resolution AG-9/15 and CCI/AG-2/15 (Busan Resolution), lending to state-owned enterprises (SOEs) without sovereign guarantee shall be carried out by IIC. This would include SOEs fully or partially owned by an SNG. In addition, said Resolution also explicitly precludes the IIC from financing operations with sub-sovereign governments.

²⁵ [IDB. 2021. The infrastructure gap in Latin America and the Caribbean: investment needed through 2030 to meet the sustainable development goals. Washington DC.](#)

BRT (54 cities), and cable car systems, which two-thirds of Latin Americans use for daily transit. Public transit operators are progressively taking an increasing share of the operating and, at times, capital investment burden. Nonetheless, SNGs often face significant financial constraints and limited technical capacity, which can hinder their ability to meet the required infrastructure commitments. This creates disparities in service provision across regions and municipalities, more so in the face of increased adaptation needs. To better understand the significance of these issues, IDB is developing an infrastructure gap analysis that builds on previous estimates by incorporating newly measured local gaps using micro-data available from cities across the region. The goal of such estimation is to increase the granularity of the results and incorporate differences in the cost of building and operating infrastructure under different geographical and socio-economic contexts. This work will also look at the main institutional constraints that hinder the capabilities of subnational governments to close the identified gaps.

- 3.6 **Meeting the SDGs also requires investments in social infrastructure and services, particularly in the context of care services, encompassing long-term care, childcare, and healthcare, among others.** Caregiving tasks are frequently non-remunerated and fall disproportionately on women. The demand for long-term care services is expected to more than triple in the next 30 years due to population aging. Care dependence affects 12 percent of people over 60 and almost 27 percent of people over 80 in the region. Some countries in LAC are establishing long-term care systems, including Costa Rica, Chile, and Argentina.²⁶ While there are vast differences across countries, healthcare systems are generally under-resourced. On average, in 14 LAC countries during 2020, 16 percent of urban households and 21 percent of rural households could not access any type of healthcare services when needed. In Ecuador, Peru, and Bolivia, these percentages were above 27 percent for urban households and reached 40 percent for rural households in Peru. Long-term improvement in life expectancy in LAC remains unequally distributed, and maternal and child health is much worse than the OECD average.²⁷ Several countries in LAC have entrusted healthcare and other social welfare services to SNGs.
- 3.7 **Green, resilient, low-carbon development requires additional investment at local level.** A high concentration of people and assets makes cities in LAC particularly vulnerable. In this region, which includes 13 of the 50 countries most susceptible to disaster-related shocks, and where as much as 80 percent of the total losses caused by disasters in LAC are produced in urban areas, building adaptation measures is

²⁶ [IDB. 2019. Age with Care: Long-term Care in Latin America and the Caribbean. Washington DC.](#)

²⁷ [OECD. 2023. Health at a Glance: Latin America and the Caribbean 2023. Paris](#)

important.²⁸ Additionally, due to factors such as city geometry, design, choice of materials, and anthropogenic activities, urban centers experience substantially higher temperatures compared to their surrounding peri-urban and rural areas, in what is commonly known as urban heat island effect. Responsible for an estimated one-third of total regional emissions, LAC cities can also play a critical part in achieving mitigation objectives, enabling solutions linked to mobility, energy use and efficiency, waste management, and construction choices. Globally, it is estimated that more than 70 percent of the total value needed for low-emission climate-resilient infrastructure will be in built urban areas,²⁹ yet a recent study³⁰ found that only 21 percent of tracked climate-related MDB finance was assigned to urban projects between 2015 and 2022.³¹ Meeting country commitment targets made under international agreements, requires localizing action and engaging with multiple actors, particularly SNGs, strengthening urban planning, urban development and incorporating resiliency measures in the public space and built environment.

B. Fiscal Advances

- 3.8 **In the past 40 years, the participation of SNGs in spending public aggregate has increased in LAC.** Following rapid growth – from 13 percent to 25 percent between 1985 and 2010 – aggregate spending has stabilized (IDB, 2022).³² However, the size of the subnational public sector in LAC varies greatly from one country to another, owing to historical backgrounds and geographical size and population. While SNGs execute approximately 40 percent of consolidated expenditures in federal countries like Mexico, Argentina, Brazil (representing between 12 and 18 percent of their respective national GDPs), and some unitary countries like Peru and Colombia (equivalent to 14 percent and 7 percent of their GDP, respectively), in other countries like Costa Rica, Panama or Jamaica it is closer to 5 percent.

²⁸ [World Bank. 2021. A Roadmap for Climate Action in Latin America and the Caribbean 2021-2025. Washington DC.](#)

²⁹ [CCFLA. 2015. The State of Climate Finance, 2015. London.](#)

³⁰ [CCFLA. 2023. Accelerating Urban Climate Finance to Cities in Low- and Middle-Income Countries. London.](#)

³¹ Cognizant of constraints associated with size, revenues and access to public debt and credit, national governments in the region are exploring alternative finance mechanisms in the form of subnational consortia to finance climate resilient municipal infrastructure, which by its public good nature or the positive/negative externalities generated, could benefit multiple municipalities. [[IDB. 2021. Pooled Finance: Brazil's Opportunity to Finance Subnational Sustainable Infrastructure. Washington DC.](#)]

³² [IDB. 2022. Panorama de las relaciones fiscales entre niveles de gobierno de países de América Latina y el Caribe](#)

- 3.9 **Average subnational government borrowing in LAC countries is around 3 percent of GDP** (compared to 12 percent in OECD countries), which dropped from around 7 percent in 2002, owing in part to the effective implementation of subnational fiscal responsibility frameworks. Subnational debt is primarily taken at provincial and state/provincial levels (e.g., Brazil's states overall debt amounts to 11.1 percent of its GDP while Argentina's provinces' debt represents 6.3 percent and Colombia's departments 3.9 percent). Loans are the primary source of external funding for SNGs in LAC (65 percent of the total outstanding debt), followed by bonds and debt securities and insurance pension and standardized guarantees, at about 12 percent each. Responsible long-term borrowing can help SNGs adequately implement investment plans and local priorities, financing 'lumpy' infrastructure and services effectively, rather than on an annual budget 'pay-as-you-go' basis, and leverage intergenerational equity. Borrowing may also assist the smoothing of asynchronous tax revenues and expenditures and foster accountability.

C. Improving Access to Private Sector Financing

- 3.10 **Capital markets in LAC have grown substantially and are making it possible to progressively channel domestic savings toward long-term infrastructure financing in local currency through local institutional investors.**³³ However, tapping domestic private savings markets for long-term financing at subnational level requires the increasing adoption of adequate practices, many of which are new for SNGs. These might include improved credit histories and engaging in formal credit ratings, defining appropriate debt instruments (e.g., bonds, commercial banks) or developing mechanisms that reduce credit and liquidity risks (e.g., guarantees, reserve accounts, secondary markets, credit enhancement schemes). Strengthening SNGs, and assisting them as they increase their market borrowing, will not only allow them to diversify financing options, but will also generate confidence and assist in the development of growing subnational debt markets.
- 3.11 **Accountable, transparent, and efficient frameworks are a precondition for attracting private investment.** The capacity of SNGs to finance investments such as infrastructure through own-source revenues and inter-governmental transfers is limited, creating funding gaps for meeting current and future needs. The ability of SNGs to attract private finance is, however, a function of the quality of prevailing frameworks and systems (e.g. land and property) that can help project financial flows. To make sensible credit and investment decisions, investors require: (i) quality financial data, accounts, and adequate management systems; (ii) increasingly robust structures to manage

³³ Brazil, Colombia, Chile, Mexico, Peru, and Uruguay have infrastructure equity and/or debt funds and/or securitize infrastructure assets (GN-2768-12).

project risks, including integrity and ESG; and (iii) a robust regulatory framework for investing.³⁴ Strengthening SNGs competences, enabling legal and institutional grounds for new funding and financing mechanisms; accompanying the development and uptake of new financing instruments to expand their revenue base (e.g. land value capture, land pooling or land banks); and helping build-in mechanisms to address possible negative impacts on vulnerable and marginalized groups, are essential.

D. Changing Financial Architecture

- 3.12 **As part of the discussions on changes to the international financial architecture, there are increasing calls to include urban climate action, finance, and technical assistance to cities.** At COP28 in Dubai, think tanks like CCFLA and CPI, in collaboration with city networks C40 and GCoM, launched a report³⁵ presenting an assessment of ten MDBs' contributions to urban finance in low-and-middle income countries and recommendations to position urban climate finance as an important element in the MDB reform agenda. In March 2024, in advance of the World Bank Group Spring Meetings, the Mayors of the C40 Cities network signed an open letter to the Presidents of the MDBs aligned to the report's recommendations. In 2024 also, U20 (a diplomacy initiative providing a lasting platform for cities to engage with the G20), co-chaired by Sao Paulo and Rio de Janeiro, prioritized topics of global governance reform and unlocking finance for urban sustainable development, with a focus on resilience.³⁶

IV. PROPOSAL

A. Objective of the SFP

- 4.1 **The general objective of the SFP is to assist eligible SNGs to promote sustainable regions and local development by improving access to market financing.** The specific objectives of the SFP are (i) to strengthen SNGs' fiscal and financial management, (ii) to strengthen SNGs' capacities to structure and implement project pipelines, and (iii) to improve service delivery and infrastructure at the subnational level. To achieve this objective, the SFP will finance, during a five-year pilot basis,

³⁴ [R. White & S. Wahba. Addressing constraints to private financing of urban \(climate\) infrastructure in developing countries. International Journal of Urban Sustainable Development, Vol. 11, 2019 – Issue 3: Planning and Financing climate-safe cities.](#)

³⁵ [CCFLA. 2023. Accelerating Urban Climate Finance in Low- and Middle- Income Countries: An Important Strategic Dimension of MDB Reform.](#)

³⁶ [U20 Co-Chairs Statement 2024.](#)

investment loans and guarantees without a sovereign guarantee or sovereign counter-guarantee, as the case may be, to eligible SNGs.³⁷

- 4.2 **The SFP will be open to SNGs from all IDB borrowing member countries.** SNG eligibility to be subject to financing under the SFP will be determined, among other requirements³⁸, by: (i) their ability to contract and obtain external financing from the IDB without the guarantee of the sovereign; and (ii) their credit strength, financial viability, legal capacity and good governance practices (including managerial capacity, fiscal track record, planning, and fiscal controls, which should be indicative of their ability to promptly pay their debts), and will be underpinned by an early creditworthiness assessment, among others. Furthermore, SNGs will only be eligible provided that the SNGs and the central/federal governments are not in non-accrual.
- 4.3 **To be eligible, projects under the SFP will need to respond to 3 simultaneous criteria: (i) high developmental impact, (ii) preventing private sector financing crowding out, and (iii) improved SNG efficiency and effectiveness.** These are described in further detail in the next paragraphs.
- 4.4 **Projects under the SFP will seek to have a high developmental impact, including through elements such as reform and/or private sector synergies,³⁹ and demonstration effects, where relevant.** Consistent with Impact+, the SFP will focus on financing projects whose purpose is to transform for impact⁴⁰ and scale, reinforcing institutional core objectives of addressing climate change, reducing poverty and inequality, and bolstering sustainable growth through infrastructure and productivity. SFP will also align itself to IDB's 7 operational focus areas, including target themes and cross-cutting areas for mainstreaming. In

³⁷ Policy-based lending or short-term borrowing for cash flow or liquidity issues, balance budgets, fiscal deficits, recurrent expenditures, or refinancing debt will not be eligible for financing under the SFP.

³⁸ Legal, operational, financial, and institutional requirements as set forth in the Bank's policies shall also apply for determining the SNGs eligibility.

³⁹ In implementing the SFP, efforts will be made from the onset to (i) cofinance with private sector (including local capital market entities) and/or (ii) cost-share, where appropriate, with client SNGs.

⁴⁰ To evaluate developmental impact, projects will be aligned to IDB's Impact + core objectives and have a measurable effect (scale, demonstration, replicability etc.) in key developmental areas, such as poverty or vulnerability reduction, support to the implementation of the SDGs, improvement of livability and/or socio-economic conditions, green development, key policy and/or institutional changes, among others. Considering the general objective of the SFP, high developmental impact projects may also include for example projects aimed at scaling sustainable SNG investment, improving private sector participation in subnational infrastructure and services, improving SNG borrowing capacity and fiscal responsibility, or increased participation of local capital markets in SNG financing, among others.

all cases, long-term sustainability elements (institutional, fiscal and financial, technical, social and environmental) will be analyzed.

- 4.5 **In evaluating proposals, sub-sovereign projects will be carefully screened to prevent crowding out and to potentially attract (crowding in) private sector financing.** To do so, the pilot will finance projects that meet one or more of the following eligibility criteria: (i) projects whose nature cannot attract private sector financing and IDB's involvement can catalyze private sector interest,⁴¹ (ii) projects that will strengthen SNGs' technical, administrative, fiscal, structuring and/or execution capacities aiming to improve their readiness to engage in private sector financing, (iii) projects that complement private sector financing (e.g. PPPs) and/or intentionally attract commercial cofinancing and other relevant nontraditional lenders, and/or (iv) the SNG has insufficient access to capital markets.⁴²
- 4.6 **IDB's value addition will stem from its ability to support sub-sovereign investments and reforms⁴³ that would help SNGs improve efficiency, quality of service provision, own-revenue generation, financial management, and/or debt management.⁴⁴** During project preparation, the Bank will not only ensure that SNGs' repayment revenue streams are stable, predictable, and adequate, but will also seek to improve SNG's income - either through (i) new revenues or reduced expenses (e.g. resulting from efficiencies) linked to the project, or (ii) associated reforms and investments⁴⁵ - that improve repayment

⁴¹ Projects with high risk or low return profiles might not be attractive to private sector (e.g. complex projects with important non-financial factors influencing benefits/costs calculations, projects with substantial externalities, some public goods, etc.). However, IDB can raise private sector interest by addressing the market's concerns through applicable actions or mechanisms such as institutional strengthening, project monitoring, application of or changing the loan structures. to make it more bankable.

⁴² This might include reasons such as underdeveloped capital markets, insufficient/imperfect credit products/lines for SNGs, or the prevalence of risk rating tools unable to adequately evaluate credit conditions of SNGs, among others.

⁴³ This might include, for example, improved asset management, accounting systems, expenditure efficiency, service regulation, tax collection, new/revised tariff regimes, development or improvement of land capture instruments, etc.

⁴⁴ Wherever possible, to promote scale-up, teams will, in parallel, engage with the central government to support improved intergovernmental arrangements for more and better subnational services. At the central level of government, this includes clarification of expenditure responsibilities among levels of government; improvements to own-revenue sources of SNG; reforms to intergovernmental transfers; enhancement of subnational fiscal responsibility frameworks and surveillance; strengthening of governing bodies related to subnational governments; and development of technical assistance programs to improve fiscal institutional capacities of SNG.

⁴⁵ These are reforms and investments that might have been undertaken in the frame of (i) early IDB engagement (e.g. through TC resources) with the SNG and/or (ii) at the time of confirming project eligibility, and that will lead to additional income for the SNG.

capacity and can help to partly service the debt.⁴⁶ Moreover, when assessing SNG revenue streams/funding sources, the Bank will consider the following aspects and assist strengthening, where relevant: (i) stability and predictability, (ii) diversity of revenue sources, (iii) equity and fairness, (iv) economic impact, (v) administrative efficiency, (vi) legal and regulatory constraints and (vii) public acceptance.⁴⁷

- 4.7 **IDB's value addition will also derive from knowledge harnessed and shared regionally.** To help foster development impact and achieve scale, the following channels will be leveraged: (i) data platforms like IDB's Subnational Fiscal Database Platform, which disseminates and helps improve available SNG fiscal and financial information in LAC, and (ii) regional networks like IDB's Cities' Financial Secretaries' Network and IDB's Decentralization and Subnational Fiscal Management Network, which promote peer-to-peer learning and capacity development. The Bank will also seek to strengthen its knowledge exchange network with other IFIs through periodic encounters.
- 4.8 **To operationalize the SFP, technical assistance will be necessary** to: (i) early in the process, assess and/or enable SNG reforms, and enhance capacities in fiscal and financial management, regulatory regimes, tariff setting, planning, asset management, service delivery, operational performance, and private sector participation, among others; and (ii) subject to SNG eligibility, operationalize the SFP, including activities such as project preparation, structuring, procurement and execution, contract management, and compliance with IDB's policies. This is essential to assist the modernization of governments, strengthen institutions and create capacities within SNGs, and enable essential gradual change. Technical assistance (in the form of regular and contingent TC) and IDB specialized technical personnel will support ex-ante readiness to engage in sub-sovereign financing, the preparation of operational documentation for Bank's due diligence and approval, and post-approval implementation and repayment.

⁴⁶ The repayment capacity is a key consideration when assessing credit risk and is part of the SNG credit risk framework. Adequate consideration will be given in financial analyses conducted as part of IDB's due diligence.

⁴⁷ Revenue sources should be stable and predictable to allow for effective budgeting and long-term planning. Relying on a mix of revenue streams, such as property taxes, sales taxes, income taxes, and service fees, can help mitigate risks associated with economic fluctuations. The tax burden should be distributed fairly among actors (e.g. residents, businesses etc.), including considerations regarding the ability to pay, and ensuring that no group is disproportionately affected. The cost and complexity of administering different revenue sources should also be taken into account.

B. The SFP as a Pilot

- 4.9 **The SFP will be established as a pilot program with the objective of demonstrating the feasibility of IDB's sub-sovereign financing to selected SNGs and providing grounds for learning and scale up.** The pilot will have an initial duration of 5 years and, consistent with the SFP, will be available to eligible SNGs from all IDB borrowing member countries. The pilot will generate evidence needed to: (i) ascertain the potential market for SFP and demand for this product, mapping prospective SNGs and initiating key reforms for eligibility under a fast-tracked figure; (ii) test new and/or revised guidelines/procedures appropriate for processing and supervision of sub-sovereign operations; (iii) evaluate new systems (e.g. credit risk, resource mobilization, integrity risk) and institutional arrangements required under the SFP; (iv) develop IDB's personnel strength and determine the extent of retraining and new skills that might be required and (v) assess IDB's efficiency and effectiveness implementing such instrument. The pilot will also generate information on cofinancing and cost-sharing, and early outcomes from the use of the instrument, outlining its potential for growth and/or challenges encountered. The pilot nature of the SFP proposes a gradual, results-focused approach to extract lessons and manage risks. It will help IDB determine whether mainstreaming of the program is desirable, its scope and scale.
- 4.10 **The SFP pilot will be structured as follows: (i) a sub-sovereign investment financing subprogram (Subprogram 1); and (ii) a technical cooperation sub-sovereign readiness subprogram (Subprogram 2).** Under Subprogram 1, sub-sovereign financing will be provided to eligible SNGs through investment loans and investment guarantees without a sovereign guarantee or counter-guarantee, as the case may be, in US dollars or local currency.⁴⁸ Financing will be based on credit risk and commercial principles, and pricing will be market-based. It is projected that under the pilot, approximately 8 to 10 individual operations will be financed under the SFP,⁴⁹ promoting geographic diversity and borrowers of different types and sizes, including intermediate cities.^{50,51}

⁴⁸ Financing in local currency dollar will be subject to, among others, market availability, operational, legal and risk management considerations.

⁴⁹ The number of operations is tentative and has been extrapolated from average loan sizes for SNGs that have recently borrowed directly with a sovereign guarantee or from other IFIs (Table 1).

⁵⁰ Management will establish indicative per country, per borrower and per project lending limits to seek effective portfolio diversification and maximizing use of economic capital.

⁵¹ The pilot aims to maximize learning and outcomes. In case of high demand, the SFP Operating Guidelines will attempt to balance the following parameters at portfolio level: (i) geographic diversity (region, country, context); (ii) different SNG typologies (levels of government, size); and (iii) varying degrees of SNG capacity (debt capacity, fiscal and financial management, project preparation, etc.).

For purposes of Subprogram 1, a total amount of US\$1 billion from the Bank's Ordinary Capital resources will be allocated for the financing of investment loans and investment guarantees.⁵² Loans and guarantees to be financed with Banks' resources might also be supported with financial resources to be provided by external partners, either resources administered by the Bank, or by partner institutions, as the case may be. Under Subprogram 2, resources will be used for the financing of technical assistance to provide: (i) non-reimbursable technical cooperation (TC) resources to support reforms, capacity building and project prefeasibility to SNGs deemed to be prospective borrowers (including good governance and ESG standards); and (ii) contingent recovery TC resources for project design (including e.g. detailed design, procurement, and other project structuring needs).⁵³

- 4.11 **Consistent with SFP criteria outlined in paragraph 4.3, projects under the pilot will prioritize SNG mandates of inclusive and efficient services, sustainable and resilient infrastructure and urban development.**⁵⁴ The SFP pilot will also finance, investments necessary to improve SNG's public finances and management (e.g. revenue collection systems, administrative efficiencies, public financial management, digitalization, etc.). This reflects current portfolio demand patterns outlined in paragraph 2.5 and Table 1.
- 4.12 **Technical assistance resources for the 5-year pilot period, are estimated at approximately US\$13 million.** This would be required to support (i) SNGs' efforts (including an expected US\$4 million for regular TCs and US\$6 million for contingent recovery TCs) and (ii) US\$3 million in TC resources for pilot implementation and monitoring and evaluation (M&E) needs. To execute the outlined activities and timely prepare and approve sub-sovereign operations, TC funds should be made available in the first 4 years of pilot implementation. TC resources might come from two sources: (i) the Bank's Ordinary Capital resources annually allocated under the Special Development Program; and/or (ii) Donor or Partner funds under Bank administration.^{55, 56}

⁵² This represents, in average, less than 1% of average IDB's loans outstanding.

⁵³ TCs under this subprogram will be consistent with the Proposal for a new Bank policy on technical cooperation (GN-2470-2) and the Operational Guidelines for Technical Cooperation Products (GN-2629-1), as amended from time to time.

⁵⁴ Overall infrastructure loan performance generally has a lower risk profile than corporate loans.

⁵⁵ Such grant mobilization strategy would consider existing donor funds and programs, and potential new contributions through different modalities, providing a flexible framework to identify best funding mechanisms, avoid duplication and ensure efficiency on the use of resources.

⁵⁶ Cost-sharing of preparatory activities/studies will be discussed and agreed with prospective SNGs.

- 4.13 **As part of the pilot, a new SNG readiness approach to fast-track access to sub-sovereign finance will be developed and evaluated.** For this purpose, SNGs across LAC will be assessed for readiness. This will be based on an evaluation of: (i) their legal capacity to borrow without a sovereign guarantee; (ii) creditworthiness, including intergovernmental arrangements and fiscal conditions, considering aspects of compliance with national fiscal rules (to ensure fiscal responsibility), an assessment of fiscal health and autonomy indicators (e.g. percentage of own-source and non-earmarked revenues; ratio of debt to operating income; etc.), and a review of available credit ratings to evaluate market assessments of fiscal stability; and (iii) governance, institutional, transparency and integrity elements, amongst others. A customized fiscal sustainability analysis will be conducted case by case to evaluate the specific needs and contexts of potentially eligible entities, providing tailored insights and recommendations for enhancing fiscal management and sustainability.⁵⁷

C. Operational Considerations

- 4.14 The following operational considerations will apply to the financing of loans and guarantees under the SFP.⁵⁸ This section covers an overview of applicable SFP processes, legal due diligence, credit risk assessment and integrity, fiduciary and safeguards due diligence, programming, and mobilization aspects.
- 4.15 **Outline SFP Processes.** Operating Guidelines for preparing and processing SFP operations will be defined and approved by Management and will consider expanded due diligence to assess credit risk, legal and integrity risks.⁵⁹ These will be circulated to the Board for information. Due diligence on fiduciary and safeguards' policies relevant to sovereign processes will continue to apply. Project teams will, at an

⁵⁷ The fiscal sustainability analysis will include a quantitative and qualitative assessment that considers, among other: (i) fiscal trends and projections, with stress scenarios; (ii) contingent liabilities, including from state-owned subnational enterprises; public partnerships; pensions; and natural disasters; (iii) fiscal transparency and sound financial management practices; and (iv) benchmarking with other similar subnational governments. This analysis will be an input in the identification of areas of fiscal management strengthening for enhanced creditworthiness.

⁵⁸ Individual investment loan and investment guarantee operations financed under the SFP will be subject to the terms of this proposal and the current policies applicable to sovereign guaranteed operations, as amended from time to time.

⁵⁹ It is envisaged that the procedures for processing of projects under the SFP, to be defined by Management, may include review instances to, for example, (1) early assess whether an SNG is eligible or not considering aspects such as (i) the SNG's legal capacity to borrow, (ii) SNGs' credit risk assessment, (iii) integrity risks and institutional capacity, and (iv) expected project impact; and subsequently, (2) conduct a quality and risk review of the proposal including (i) credit analysis and rating, (ii) development impact and technical elements, (iii) financial and non-financial risks, (iv) financial and non-financial additionality, (v) fiduciary and safeguards, and (vi) integrity and legal aspects.

early stage, discuss with client SNGs due diligence costs, client responsibilities in preparatory phases and TC resources.

- 4.16 Strategic core departments are expected to perform the second line role of the Bank's risk management governance, and will have the capacity, in processing stages, to independently review and evaluate the proposed operations.
- 4.17 **Approval of SFP operations by the Board.** Loan and investment guarantee operations financed under the SFP will follow the approval procedures applicable to sovereign guaranteed (SG) operations (document GN-1838-3,⁶⁰ as may be amended from time to time).
- 4.18 **Legal Frameworks.** Consistent with the Bank's operational regulations on eligible borrowers (OP-301), SNGs shall demonstrate that they are legally empowered and authorized to enter into loan agreements with the Bank, or counter-guarantee agreements in the case of investment guarantee operations, and must also fulfill all other legal, institutional, operational, and financial requirements set forth in the operational regulations. Determination on the ability of SNGs to access direct financing without a sovereign guarantee will be carried out on a project-by-project basis.
- 4.19 In addition to the requirements set forth in the proposal, each individual operation will be subject to a sound due diligence to determine, among others, the following: (i) types of collateral, if any, that could be required/acceptable to the Bank (e.g. liens, guarantee trusts, escrow accounts, etc.); (ii) the capability of the SNG to grant pledges against its assets (including fiscal and other sources of revenue).
- 4.20 **Credit Risk Framework.** SFP, as an NSG program, will require the introduction of a new credit risk framework to underpin the IDB's credit risk decision making. The Bank will adopt a credit risk framework to (i) enable processing of SNG operations, including screening of financially viable operations from non-viable operations; (ii) define an appropriate credit risk methodology to apply to sub-sovereign transactions; (iii) conduct credit risk assessment during the project cycle; (iv) assign credit ratings at entry, and during quality review and closing stages of processing, as well as during the implementation and repayment life of the project; and (v) set the program's risk limits.
- 4.21 **Fiduciary Considerations.** The SFP does not require any deviation from the Bank's policies and regulations on procurement and financial management. The procurement of Works, Goods, and Services will be

⁶⁰ Report of the Working Group of the Board of Executive Directors of the Inter-American Development Bank on Streamlining Approval Procedures for Sovereign-Guaranteed Operations. Revised Version (document GN-1838-3).

executed in accordance with the Procurement Policies (document GN-2349-15 and GN-2350-15, as amended). The Bank will conduct assessments of the borrower's and/or executing agency's fiduciary systems, a risk analysis, and a capacity assessment. Pursuant to GN-2538-31, the Bank may assess the borrower's and/or executing agency's fiduciary systems to determine their compliance with the requirements set forth for their validation and authorization for use in Bank-financed operations. Key fiduciary arrangements will be established for the execution phase and opportunities for institutional strengthening identified, followed by regular monitoring during implementation. During project preparation, the estimated expenditures needed for the investment will be analyzed to determine the necessary amount of financing.

- 4.22 **Integrity.** From early on in the process and throughout the project cycle, the Bank will: (i) identify and assess integrity risks (including institutional and context-related vulnerabilities) and the potential negative impacts that such risks could have on the Bank's development objectives and reputation; (ii) evaluate the capacity and mechanisms of the borrower/executing agency to manage integrity risks;⁶¹ and (iii) recommend specific actions (including training and technical assistance to strengthen capacity) to mitigate integrity risks and the risk of negative impacts on the Bank's reputation or development objectives. The specific risk mitigation actions will be incorporated into the design, institutional arrangements and/or execution mechanisms of the project and its implementation monitored during execution and adjusted if needed.
- 4.23 To assess integrity risks, IDB will: (i) apply an institutional capacity assessment module tailored to SNGs' characteristics; (ii) identify relevant parties with significant roles in the SFP; and (iii) perform due diligence on those relevant parties and the SNG. IDB will monitor changes to the integrity profile of the SFP during the life cycle of the operation. Finally – as in all IDB Group financed operations – the loan contract will include integrity provisions to ensure that IDB retains its ability to investigate and sanction the commission of Prohibited Practices in the activities it finances.
- 4.24 **Environmental and Social Safeguards.** The Environmental and Social Policy Framework⁶² and its guidelines⁶³ will apply to sub-sovereign loans

⁶¹ Including aspects such as: its internal controls, its processes for managing potential conflicts of interest, its due diligence of third parties such as contractors, and its mechanisms to report irregularities and take operational corrective actions when integrity risks materialize.

⁶² [Environmental and Social Policy Framework \(Document GN-2965-23\).](#)

⁶³ [Guidelines for the Environmental and Social Performance Standards \(Document OP-1852-7\).](#)

and guarantees under the pilot⁶⁴. The Environmental and Social Review Procedure,⁶⁵ already in place at IDB, will guide safeguard actions associated with preparation, due diligence, and supervision of all operations.

- 4.25 **Programming.** Operational activities with SNGs under the SFP are expected to follow the principles of the regular country programming process. The approval of SFP operations will require prior non-objection by the government of the member country by way of a specific written consent, which will be sought early in project preparation,⁶⁶ or as part of the regular country programming process. Sub-sovereign operations should, over time, be part of country strategic dialogue and be framed in the thematic priorities outlined in the Country Strategy, complementing, and building synergies with other sovereign and non-sovereign guaranteed interventions.
- 4.26 **Credit Risk Management.** Working with SNGs entails accepting socio-political uncertainties, particularly without a sovereign guarantee. Complementary to institutional measures highlighted in section V, credit risk mitigation and management strategies to be pursued under SFP will comprise (i) conducting periodic credit assessments throughout the life of the loan, and implementing a system for regular monitoring of the borrower's financial health and compliance with the loan terms; (ii) adequate risk identification, allocation and sharing exercises;⁶⁷ (iii) development of appropriate financial structures, with adequate debt repayment sources; and/or (iv) inclusion of financial covenants, promissory notes, collateral and/or remedial clauses in loan agreements, as might be deemed appropriate.
- 4.27 **Partnerships and Mobilization.** Consistent with IDB's mandate to enter into financing partnerships as a way to leverage its resources and mobilize public and private capital investment, IDB will seek to cofinance and mobilize resources with public and/or private sector partners. Where appropriate, to mitigate risks, the Bank will evaluate the use of

⁶⁴ Excluding operations under the Contingent Credit Facility for Natural Disaster and Public Health Emergencies and the Immediate Response Facility for Emergencies Caused by Natural and Unexpected Disasters, which are not part of the scope considered for the SFP.

⁶⁵ [2021. IADB. Environmental and Social Review Procedures. Washington DC.](#)

⁶⁶ When an operation needs to be processed outside country programming steps, a non-objection will be sought from central/federal government prior to granting project eligibility. Non-objection will be requested in writing, and it will comprise both a request for non-objection to the project and to associated TC. Early engagement with national authorities might include discussions on an SNG's compliance with fiscal rules and fiscal responsibility frameworks, debt sustainability analysis, fiscal transparency, scope of the project and how it integrates with national government-led initiatives, and proposed capacity strengthening measures, among others.

⁶⁷ This could take the form, for example, of risk mitigating instruments like guarantees, cofinancing or cost-sharing with the client.

guarantees (political risk and credit enhancement) from partner financial institutions (see paragraph 2.12). Special efforts will be made to coordinate with other multilateral and bilateral institutions, both in terms of mobilizing resources for financing operations, as well as grant resources.

D. Pricing Principles and Financial Conditions

- 4.28 **Market-Based Pricing.** Grounded on principles of NSG-financed operations, SFP pricing will be market-based, following a price-discovery process, with financial terms and conditions defined on a project-by-project basis (please see Table 2 below for generic terms, as a reference). Therefore, terms and conditions under SFP will differ from those applicable to sovereign-guaranteed operations.

Table 2: Typical/Indicative Parameters

Parameter	Expected Average Value
Eligible products	Loans, guarantees
Tenor	10-15 years (weighted average life)
Interest rate	To be determined by the market (if available, otherwise based on risk-adjusted return on capital)
Grace period	3-4 years, but ultimately based on project specifics
Currencies	US\$, Local currencies
Typical Value	US\$ 20-100 million
Expected SNG Size	Regions, large and intermediate cities

Note: Parameters will vary for each transaction, determined by the market and client preferences. The parameters shown here are indicative and similar to those of other IFIs'.

- 4.29 In those cases where market-based pricing for a specific SFP transaction cannot be directly obtained, IDB will (i) perform price discovery by comparing with similar sub-sovereign transactions with the same credit rating, either in that SNG or in similar SNGs in the region, or (ii) apply the theoretical pricing model (described in paragraph 4.30).
- 4.30 **Theoretical Pricing Model.** A theoretical pricing model developed for the SFP will be applied to each operation with a double purpose: (i) establishing a price in those cases where there is no market reference; and (ii) having a reference in those cases where market pricing is available, to ensure that the pilot deployed by the Bank generates a reasonable risk-adjusted return on capital. The theoretical pricing for SFP operations would support the general principles of financial sustainability embedded in the Bank's Capital Adequacy Policy (CAP)

Mandate and Regulations⁶⁸ and the Income Management Model⁶⁹. SFP theoretical pricing will be based on a risk-adjusted return on capital framework that includes: (i) the IDB's base rate; (ii) the Bank's funding costs (a function of the loan tenor); (iii) administrative expenses; (iv) expected losses (a function of the credit rating-based probability of default and the assumed loss given default of that particular transaction); (v) cost of required capital (determined on a case by case basis); and (vi) an estimated spread to allow for capital accumulation to sustain the growth in the portfolio. The corresponding financial terms and conditions for investment loans and guarantees (including but not limited to lending rate, inspection and supervision fees, and grace and amortization periods, and other relevant financial charges) will be determined by Management and approved by the Board in the context of the corresponding individual loan/guarantee proposal.⁷⁰ Loans to eligible SNGs shall benefit from options, as provided by the Flexible Financing Facility (FFF), to manage interest rate risk and foreign exchange risk. Specific contractual provisions following those included in loans under the FFF will be developed and included in corresponding loan contracts, as the case may be.

E. Monitoring, Reporting and Evaluation

- 4.31 **SFP M&E Framework.** To assist the evaluation of the SFP, a draft M&E framework has been developed and included in Annex IV. The SFP pilot will be evaluated against early results associated with the SFP's vertical logic – improved SNG's technical and financial capacities and early outcomes from investment components – as well as IDB's ability to implement the SFP as a lending instrument (as described in paragraph 4.9), its effectiveness and efficacy, to assist eligible SNGs promote sustainable local and regional development, as they transition to market financing.⁷¹ Figure 1 in Annex IV presents a sketch of the SFPs vertical logic, serving as a reference for designing results matrices for individual projects and providing model indicators. This sketch is illustrative of the vertical logic of the program as a whole, and the specific wording of general and specific objectives of individual operations may need to be adjusted to fit their characteristics. Specific projects should develop an individual vertical logic and define general and specific objectives that,

⁶⁸ Documents AB-2994 and AB-2996.

⁶⁹ Document AB-3044.

⁷⁰ Consistent with the Risk Taxonomy of the Inter-American Development Bank. (GN-2547) and operationalized through the SNG Credit Risk Management Framework.

⁷¹ The pilot nature of the SFP also limits the scope of evaluation that might be conducted after 5 years given its modest size and period of implementation. As such, areas that are not expected will be subject to evaluation include (i) portfolio development effectiveness, (ii) handling of special assets/delinquent portfolio, (iii) impact on economic capital, (iv) income, and (v) overall impact attainment.

while consistent with the objectives of the SFP, should be appropriate to the individual intervention and context. Thus, individual operations will draw and adapt relevant specific objectives under the SFP, responding to the particular problems and solutions proposed for the project, while collectively contributing to the overall results of the program.⁷²

- 4.32 **SFP Pilot Evaluation.** After the fifth year of implementation of the pilot, OVE will conduct and present to the Board an evaluation of the SFP pilot as a lending instrument. The evaluation of the SFP program will be informed by the evaluation of each individual project or, when projects have not yet been completed, by their intermediate/early outcomes. The results of OVE's evaluation will inform ensuing actions associated to the continuity of the program (e.g. pilot extension or mainstreaming) and/or adjustments to the SFP. Any new proposal to adjust, continue or mainstream the SFP would be presented to the Board for consideration.

⁷³

- 4.33 **M&E and Reporting of Individual Operations.** SFP individual operations will follow SG procedures regarding performance monitoring and evaluation and will comply with IDB's Development Effectiveness Policy Framework, including appropriate regulations, guidance documents and tools issued by Management. SFP individual operations' performance will be tracked against the achievement of project objectives, delivery of results, indicators associated with developmental impact, project performance indicators, compliance with various policies and mainstreaming of cross-cutting themes.⁷⁴ Project completion reports (PCRs), consistent with the IDB Group's Evaluation Policy Framework, will be prepared at project closing applying an objectives-based approach. To the extent possible PMRs will apply, as in the case of SG operations. Consistent with Bank policy, a PCR is required for each completed lending operation that is approved with a Development Effectiveness Matrix.⁷⁵ In addition, for sub sovereign operations, IDB will establish new arrangements to monitor the use of proceeds, debt payment and credit risk, updating ratings, and establishing an

⁷² Although incorporating all 3 specific objectives might not always be required, it is anticipated that 2 or more might frequently be used/adapted for a project.

⁷³ The pilot will generate knowledge and allow IDB to evaluate demand, impact, and performance of the SFP based on the parameters outlined in paragraph 4.9 and further developed in Annex IV. In addition, in considering any possible extension of the pilot, mainstreaming or scale up, an analysis of complementary elements – such as capital consumption, risk appetite, and broad and equitable access – and their impact on IDB should be taken into account.

⁷⁴ At the time of presenting this paper, performance monitoring systems included Progress Monitoring Reports (PMR) and safeguards monitoring reports.

⁷⁵ Subnational operations should be evaluated considering the scope with which they are approved. PCR guidelines (OP-1696-6, as amended) apply noting that the scope of subnational operations refers to local development problems and objectives, as opposed to a country wide approach.

associated portfolio early warning system. To effectively measure the success of the pilot, SFP operations will also incorporate in their respective results matrixes, indicators captured in the SFP Pilot M&E Framework.

- 4.34 **Other Monitoring and Reporting.** During the implementation of the pilot and the program, IDB will continuously monitor and report on loan portfolio performance, fiduciary, environmental and social risk management performance, thereby ensuring the identification of technical assistance needs or the need to implement correction or risk mitigation actions. In addition, a mid-term report with a summary of the progress, products, results achieved, and lessons derived from operations under the SFP will be prepared in the third year of implementation and shared with the Board for information. As appropriate, some of these findings and lessons learned could also be included in other IDB Group reports such as the Development Effectiveness Overview, the quarterly risk report and/or biannual portfolio review. Moreover, as part of the financial planning exercise, allocations for individual sub-sovereign operations will be captured in IDB's annual Long-Term Financial Projections document presented to the Board.

F. Supporting Impact + under a Synergistic Approach

- 4.35 **IDB and IDB-Invest synergies will focus on product, process, and client opportunities.** To expedite the development of new sub-sovereign products (loans, guarantees) and associated processes to structure, approve, monitor, and manage a new portfolio of sub-sovereign operations, IDB will require new and complementary skills in several areas (e.g., banking, risk, resource mobilization, legal etc.). IDB-Invest's robust experience with NSG finance provides space for IDB's cross-learning, skills development and, where appropriate, service sharing. In order to accelerate the learning process, as part of the SFP pilot (and building on emerging successful experiences with the sovereign portfolio) the SFP will seek to: (i) integrate the support of IDB-Invest in IDB's project teams⁷⁶ and advisory role in some committees, (ii) request IDB-Invest to appoint consultative focal points,⁷⁷ and (iii) implement early service level agreements with IDB-Invest for specific

⁷⁶ As part of the pilot, sub-sovereign operations could include the support of a team member from IDB Invest who, from early on in the process, would advise on (i) potential private sector displacement resulting from a sub-sovereign transaction (para 4.4 above), (ii) opportunities for complementary private sector financing, and (iii) latent financial and risk tolerance and possible mitigation structures, among others. Upon approval, a team member from IDB Invest's portfolio maintenance unit could support IDB teams in the supervision of the operation, highlighting any perceived warning signs.

⁷⁷ Consultative focal points in IDB-Invest may serve as the main contact for coordination and exchange of information with the IDB (e.g. on operational aspects, finance, credit risk, portfolio management, etc.), channeling information and facilitating involvement.

functions (e.g. in areas such as special assets recovery)⁷⁸ where cost-effectiveness and/or expertise justifies it.

- 4.36 **IDB-Group upstream assessments can generate synergies at client level.** Firstly, IDB's knowledge and established relationship with public sector entities can prove strategic not only in developing demand and conditions for sub-sovereign lending to SNGs but also, as part of an increased value proposition of the IDB Group, support subnational SOE's transition to market borrowing through IDB-Invest.⁷⁹ For this purpose, upstream programmatic multisectoral urban/territorial diagnostic studies, jointly prepared by IDB and IDB-Invest staff, will provide quantitative and qualitative assessments highlighting the strengths and weaknesses of SNGs and subnational SOEs charged with the delivery of services at city/regional level, identify opportunities for investment at non-sovereign level, and define local and corporate reforms for implementation. Secondly, with a view to gradually transition SNGs from public to private sector borrowing (particularly from domestic capital markets), an early assessment of subnational debt markets will be conducted in selected countries highlighting commercial banks' barriers to SNG lending, possible reforms (e.g., regulatory, corporate governance, credit risk etc.) and opportunities for gradual commercial cofinancing.

G. Organizational Arrangements

- 4.37 To operationalize the SFP, new skills or increased capacity might be required over time in areas such as credit risk assessment, loan structuring and loan monitoring, risk management, legal, integrity, and/or resource mobilization and pricing, among others. This will be secured through a mix of new recruitment, training of existing staff, consultancies, and/or service level agreements between IDB and IDB Invest and will be calibrated based on evolving needs and increasing lending volumes.⁸⁰ Existing organizational divisions/units will be

⁷⁸ Specific areas where service level agreements will be defined as part of the pilot implementation and are likely to evolve as skills develop and/or if volumes increase.

⁷⁹ Please refer to footnote 23 for details on NSG division of responsibilities under the Busan Resolution.

⁸⁰ A more detailed strategy forecasts that for the first 18 months of implementation of the pilot, additional skills will be secured primarily through consultancies (resources are already captured under M&E resources in paragraph 4.12) and service level agreements with IDB Invest (e.g. recovery functions). In parallel, transfer of skills on NSG products will also occur through collaboration with IDB Invest and the use of consultative focal points (see paragraph 4.35). Thereafter, as lending volume and structuring complexity increases and execution responsibilities are underway, complementary staff will be necessary (a very preliminary assessment suggests the need for 7-8 new staff). Aside from skill transfer strategies with IDB Invest already outlined, an interdepartmental community of practice for Sub-sovereign Finance will be established (evolving from the existing working group of the same name) to accelerate learning and collaboration and exchange experiences.

expected to deliver results under the pilot, supported by a SFP coordination and monitoring team. Preliminary budget details are in Annex V.

V. RISK MANAGEMENT

A. Moral Hazard

- 5.1 **Uncontrolled access to credit by SNGs and expectations of financial support may result in unsustainable subnational debt, which in turn puts pressure for bailouts from the central government – the moral hazard concern.** The problem of moral hazard and the expectation of a bailout from the central government in an event of subnational fiscal insolvency, can be partly mitigated through the implementation of subnational fiscal responsibility frameworks and fiscal rules, the development of ex ante alerts providing timely early warnings of emergent fiscal risks, improved transparency and accountability mechanisms at subnational level, and the development of management capacities commensurate with SNG responsibilities.
- 5.2 **In this regard, the SFP seeks to improve subnational fiscal autonomy, including the crucial dimension of avoiding bailouts.** For this, a key component will entail fiscal strengthening of the pilot SNGs to improve their creditworthiness. Separately, technical assistance might also be offered to the central government to improve subnational fiscal monitoring and to strengthen intergovernmental relations, in dimensions such as improvement of subnational own resources, transparency and predictability of transfers, and subnational debt regulation (including bankruptcy procedures for subnational insolvency cases).
- 5.3 Also, consistent with recommendations of earlier external advisory group's recommendations (paragraph 3.1, document GN-2125-5), to prevent moral hazard, the following will be observed (i) strict adherence to central government policies and fiscal discipline; (ii) compliance with objective indicators of financial condition; and (iii) strengthened SNG's risk management frameworks.

B. * [REDACTED]

5.4 * ⁸¹.

5.5 *

81 *

5.6 *

5.7 *

5.8 *⁸², ⁸³.

5.9 *

5.10 *

C. Integrity and Fiduciary Risk

5.11 **Integrity risk and its associated reputational impact.** Past occurrences of prohibited practices, unethical or financial misconduct or institutional weaknesses could adversely affect the projects' ability to achieve objectives to the Bank's reputation. To mitigate these potential effects, as described in paragraph 4.22 above, the Bank will review subnational entities and their capacity to manage integrity risks, and formulate a plan to strengthen their systems, put in place controls or take corrective measures.

5.12 **Portfolio, fiduciary, and environmental and social risk management.** Concerns over ESG risks could arise as IDB engages at subnational level. To prevent such risks, SFP operations will be subject to quality assurance and risk review throughout the project preparation phase and portfolio monitoring and reporting during the execution phase. Quality assurance and risk review will ensure adequate risk identification, assessment, and mitigation in line with socioenvironmental standards and fiduciary principles. Portfolio monitoring and reporting will support the identification of technical assistance needs to strengthen SNGs capacity, ensure timely response to potential negative socioenvironmental impacts, and provide portfolio alerts and exposure to high risks.

VI. RECOMMENDATION

6.1 Based on the analysis and information provided in this document, Management recommends that the Board of Executive Directors of the IDB approves the proposed resolution attached to this document as Appendix I. The approval of the proposed resolution would represent the adoption of the following recommendations:

- a. **Recommendation 1:** To establish the "Sub-Sovereign Finance Program (SFP)" as a pilot program of the IDB in accordance with

82 *

83 *

the terms and conditions set forth in Sections IV and V of this document.

- b. **Recommendation 2:** That up to the amount of US\$1,000,000,000 from the Bank's Ordinary Capital resources will be allocated under Subprogram 1 of the SFP for the financing of individual loan and guarantee operations.

ANNEX I.*

ANNEX II. FISCAL AND FINANCIAL CONDITION OF LAC SNGs A PRELIMINARY CREDITWORTHINESS ANALYSIS¹

- 1.1 The IDB Group Institutional Strategy, “Transforming for Scale and Impact,” focuses on subnational entities as a key area for growth, shifting from Sovereign Guarantee to Non-Sovereign Guarantee financing to encourage better creditworthiness and fiscal autonomy.
- 1.2 To support this goal, we developed a preliminary selection guideline aimed at identifying SNG with the highest potential to receive IDB’s non-sovereign financing, based on criteria that considers legal capacity; size; and intergovernmental arrangements and fiscal conditions (see below). It is important to note that this list is not exhaustive: Other SNG could also be considered. Moreover, this assessment is only preliminary and an in-depth fiscal sustainability analysis of each SNG should be conducted before committing to further credit consideration. Parameters used for this preliminary analysis include:
 - a. Legal capacity: Can SNG borrow with international organizations without sovereign guarantee? With support from IDB’s Legal Department, an analysis of legal frameworks was conducted (Annex III), resulting in 19 countries in which SNG can borrow with international organizations without sovereign guarantee.
 - b. Size: A sample of the largest intermediate subnational governments (states, provinces, departments, among others) and cities, with an indicative population size above 500,000 inhabitants (with exceptions, based on characteristics of subnational governments such as fiscal autonomy and GDP/capita) has been identified. Population size tends to be correlated with institutional capacity and ability to acquire sizable loans.
 - c. Intergovernmental arrangements and fiscal conditions: The analysis covered key aspects of SNG finances including: (i) previous experience in credit markets and ratings provided by at least one of the main credit rating agencies (Moody’s, Standard & Poors, Fitch); (ii) compliance with subnational fiscal rules (in the cases of Brazil and Colombia); (iii) estimation, where available, of metrics typically used in creditworthiness analysis, over the previous five years, including: (a) own revenue over total revenue; (b) financial debt over total revenues; (c) non-financial liabilities over total revenues; (d) interest payment over total revenues; (e) fiscal balance over total income; and (f) operating balance over operating revenues.
- 1.3 Following this analysis, 63 SNG in eight countries with most potential to become beneficiaries of the initiative were preliminary identified.
- 1.4 **Argentina (10 Provincial governments / 5 Municipalities)** Provincial governments, along with a select group of municipalities, are considered viable candidates. Most subnational tax bases (including consumption, property, and vehicle taxes) belong

¹ This analysis is based on available public information, [IDB’s Outlook of fiscal relations among levels of governments in LAC](#); and [IDB’s subnational fiscal platform](#).

to the provincial level, making this level of government the most suitable to access financing in Argentina.

- 1.5 **Brazil (5 States / 22 Municipalities)** Brazilian's states and municipalities have strong potential for credit operations due to their size, along with significant and diverse revenue sources. Many states and large municipalities exhibit solid fiscal management, despite challenges related to expenditure rigidity (especially for the state level). Brazil also has a strong subnational fiscal responsibility framework ([CAPAG system](#)), along with an objective, formula-based system of subnational project prioritization ([COFLEX](#)), based on the quality of project formulation and alignment with national priorities.
- 1.6 **Colombia (3 Departments / 6 Municipalities)** Departments and municipalities are well-positioned for financing due to a solid legal framework, relatively large population (in the case of municipalities), and robust fiscal oversight, based on the subnational fiscal responsibility framework known as the "traffic light system" administered by the [Fiscal Affairs Directorate](#) of the Ministry of Finance. Departments mainly rely on indirect taxes, while municipalities generate significant revenue from property and business taxes.
- 1.7 **Costa Rica (1 Municipality)** Costa Rican municipalities have considerable fiscal autonomy, with most revenues derived from local taxes such as property and consumption taxes. They generally manage their finances prudently, with a focus on maintaining fiscal discipline. San Jose, as the capital whose larger metropolitan area concentrates more than half of the country's population, has shown low financial debt in recent years.
- 1.8 **Ecuador (5 Municipalities)** Ecuador has some large municipal governments with creditworthiness potential, although in general SNG face fiscal transparency challenges, as key cities like Quito, Guayaquil, Cuenca, Santo Domingo, and Manta do not publish comprehensive financial data, including series with their fiscal result and debt; this information is also not published by the central government.
- 1.9 **Guatemala (1 Municipality)** Guatemalan municipalities have high dependence on intergovernmental transfers, which make up a large portion of their revenues. Guatemala City, the country's largest municipality, has creditworthiness potential. The country's Ministry of Finance regularly publishes information on SNG public finances, including a [municipal financial index](#).
- 1.10 **Panamá (1 Municipality)** Panama's municipalities have limited fiscal autonomy, with most local revenue coming from transfers from the central government (including from the property tax, which is centrally collected and redistributed among municipalities). They generate own income through taxes on commercial activities, fees, and contributions for services provided. Panama City's metropolitan area comprises around half of the country's population, with the municipality of Panama City having creditworthiness potential. There is no publicly available information on SNG executed budget and/or debt.

- 1.11 **Uruguay (4 Departments)** Uruguay's departments have relatively high fiscal autonomy, with most of their revenues coming from own-source taxes like property and vehicle taxes. Due to their size and autonomy, the largest departments have creditworthiness potential. Departments regularly publish their budgetary execution, although data on their debt is limited.

TABLE II-1. List of 63 SNGS candidates under analysis

COUNTRY	SNG	LEVEL	SIZE
ARGENTINA	Buenos Aires	Intermediate	17,523,996
	Córdoba	Intermediate	3,840,905
	Santa Fe	Intermediate	3,544,908
	Mendoza	Intermediate	2,043,540
	Salta	Intermediate	1,441,351
	Entre Ríos	Intermediate	1,425,578
	Misiones	Intermediate	1,278,873
	Corrientes	Intermediate	1,212,696
	Chaco	Intermediate	1,129,606
	Neuquén	Intermediate	726,590
	Ciudad Autónoma de Buenos Aires	Large city	3,121,707
	Córdoba	Large city	1,505,250
	Rosario	Large city	1,348,725
	Neuquén	Large city	231,198
	Mendoza	Large city	127,160
BRAZIL	Bahia	Intermediate	14,141,626
	Paraíba	Intermediate	3,974,687
	Espírito Santo	Intermediate	3,833,712
	Mato Grosso	Intermediate	3,658,649
	Rondônia	Intermediate	1,581,196
	São Paulo	Large city	11,451,999
	Salvador	Large city	2,417,678
	Belo Horizonte	Large city	2,315,560
	Curitiba	Large city	1,773,718
	Goiânia	Large city	1,437,366
	Porto Alegre	Large city	1,332,845
	Belém	Large city	1,303,403
	São Luís	Large city	1,037,775
	Maceió	Large city	957,916

TABLE II-1. List of 63 SNGS candidates under analysis

COUNTRY	SNG	LEVEL	SIZE
BRAZIL	João Pessoa	Large city	833,932
	Ribeirão Preto	Large city	720,116
	Jaboatão dos Guararapes	Large city	711,330
	Contagem	Large city	673,849
	Aracaju	Large city	602,757
	Juiz de Fora	Large city	577,532
	Ananindeua	Large city	540,410
	Serra	Large city	536,765
	Caxias do Sul	Large city	523,716
	Niterói	Large city	516,981
	Campos dos Goytacazes	Large city	514,643
	Vila Velha	Large city	508,655
	Porto Velho	Large city	460,434
COLOMBIA	Antioquia	Intermediate	6,995,000
	Valle del Cauca	Intermediate	3,789,874
	Cundinamarca	Intermediate	2,792,877
	Bogota, D.C.	Large city	7,181,469
	Medellín	Large city	2,700,702
	Cali	Large city	1,822,871
	Cartagena	Large city	973,045
	Bucaramanga	Large city	581,130
	Pereira	Large city	481,768
COSTA RICA	San Jose	Large city	356,056
ECUADOR	Guayaquil	Large city	2,650,288
	Quito	Large city	1,763,275
	Cuenca	Large city	596,101
	Santo Domingo	Large city	334,826
	Manta	Large city	258,697
GUATEMALA	Guatemala City	Large city	923,392
PANAMA	Panama City	Large city	880,691
URUGUAY	Montevideo	Intermediate	1,319,108
	Canelones	Intermediate	520,187
	Maldonado	Intermediate	164,300
	Colonia	Intermediate	123,203

Source: Project Team Analysis. For further information, [see preliminary analysis for each SNG](#)

ANNEX III. REQUIREMENTS FOR THE CONTRACTING OF EXTERNAL LOANS BY SUBNATIONAL GOVERNMENTS IN LAC – A PRELIMINARY ANALYSIS¹

- 1.1 The requirements for contracting and obtaining external financing vary depending on the legislation of the countries in the region. Some legal frameworks allow SNGs to borrow with local authorization, while others require authorization from the national government and/or legislative authorization at the national level. In some cases, legislations preclude SNGs from borrowing from external sources of financing. Table III-1 below provides an indicative and preliminary information about the requirements concerning SNGs borrowing without sovereign guarantee.

**Table III-1: Requirements for the contracting of
external loans by SNGs**

Able to Borrow without National Approvals	Able to Borrow with National Approval	Not allowed to Borrow from External Sources
Costa Rica Nicaragua Paraguay Uruguay	Argentina ^b Bolivia ^{a, b} Belize ^b Brazil ^a Chile ^{a, b} Colombia ^b Dominican Republic ^b Ecuador ^b El Salvador ^a Guatemala ^b Guyana ^b Honduras ^{a, b} Jamaica ^b Panama ^b Trinidad and Tobago ^b	Bahamas Barbados Haiti México Peru ^c Suriname Venezuela

Notes: a. Requires prior legislative approval at national level
b. Requires prior approval by the national executive power
c. Requires the sovereign guarantee

¹ This summary is based on information available online, however, it does not constitute a definitive, comprehensive, or all-encompassing analysis of the legislation or its practical application. Information pertaining to Barbados is not included as the country does not have subnational governments. The term “subnational governments” refers to local or regional governments, such as provinces, departments, states, and municipalities, depending on a country's political subdivision. Proposals for individual operations will require a case-by-case legal due diligence. State owned enterprises and decentralized institutions are not comprised in this summary.

- 1.2 **Argentina.** According to the Argentine legislation “In order to access borrowing operations and grant guarantees and endorsements, the governments of the provinces, the Autonomous City of Buenos Aires, and of the municipalities shall submit the background information and the corresponding documentation to the Ministry of the Interior, which, together with the Ministry of Economy, shall carry out an analysis in order to authorize such operations....”. In the case of municipal borrowing, “...the provinces shall coordinate with the national government and with their respective municipalities the actions aimed to promote such authorizations.”
- 1.3 **Bahamas.** According to its legislation, subnational governments in Bahamas do not have the power to borrow, and they are provided funding by the central Government.
- 1.4 **Belize.** In accordance with the legislation on towns councils, “Whenever the general interest and welfare or development of any town will, in the opinion of two-thirds of the members of the Council, be advanced by an expenditure greater than can be met out of the annual revenue of the Town Fund, the Council of that town may, by resolution carried by its majority, recommend to the Minister for the time being responsible for Finance, on the guarantee of an annual allocation of such amount of the Town Fund as may be equivalent to the annual interest and sinking fund necessary for its redemption, the raising of a loan, the proceeds of which shall be devoted to such development.”
- 1.5 **Bolivia.** Pursuant to the Bolivian legislation “The resources of the municipal autonomous territorial entities are: [...] 5. Internal and external credits and loans contracted in accordance with the legislation of the central level of the State” and “The contracting of external public debt must be authorized by law of the Plurinational Legislative Assembly.”
- 1.6 **Brazil.** In accordance with Brazilian legislation the states, the Federal District, and the municipalities may contract external credit operations, and the “...Ministry of Finance will verify compliance with the limits and conditions relating to the carrying out of credit operations by each entity of the Federation....”, including the “existence of prior and express authorization for contracting, in the text of the budget law, in additional credits or specific law”, and the “...specific authorization from the Federal Senate.”
- 1.7 **Chile.** According to the Constitution, “Only the following are matters of law: [...] 7) Those that authorize the State, its agencies and municipalities to contract loans, which must be intended to finance specific projects. [...]”; and “8) Those that authorize the celebration of any kind of operations that may directly or indirectly compromise the credit or financial responsibility of the State, its agencies and municipalities.”
- 1.8 **Colombia.** As stated in its Constitution, Colombian “Territorial entities may issue public debt securities and bonds, subject to the conditions of the financial market, and also contract external credit, all in accordance with the law that regulates the matter.” In addition, under Colombia legislation “...the execution of

external public credit operations [...] by: i) territorial entities [...], will require authorization issued by resolution by the Ministry of Finance and Public Credit.”

- 1.9 **Costa Rica.** According to the national Constitution: “The law shall indicate in which cases municipalities will need legislative authorization to contract loans, pledge their assets or income, or sell properties or real estate property.” Likewise, according to the law the “Municipalities and any forms of association between them may enter into all kinds of loans. Loans will require the approval of at least two-thirds of all members of the respective Municipal Council.”
- 1.10 **Ecuador.** Pursuant to the Ecuadorian Constitution “The contracting of public debt at all levels of the State will be governed by the guidelines of the respective planning and budget and will be authorized by a debt and financing committee ...”. Likewise, in accordance with the legislation, “Each entity of the public sector that has the status of a legal entity under public law, with the prior authorization of the Debt and Financing Committee, may make a definitive decision on the corresponding indebtedness, and shall assume responsibility for ensuring that the respective indebtedness and the stipulations of inherent contracts or agreements do not affect the sovereignty of the Republic of Ecuador.”
- 1.11 **El Salvador.** According to the laws of El Salvador “...the contracting of loans with national or foreign institutions that do not require state guarantee, will require the approval of the council with the vote of three-quarters of its members. The contracting of loans with foreign institutions with state guarantee, will in addition require the authorization and approval of the legislative assembly”.
- 1.12 **Guatemala.** Under the legislation of Guatemala “In order to achieve their purposes, municipalities may contract loans in compliance with the legal requirements established for such purpose. They must carefully observe the principle of payment capacity so as not to affect municipal finances and ensure that the debt they incur does not affect or compromise national public finances. Municipalities may contract credit obligations whose repayment period exceeds the term of government of the Municipal Council that contracts them, provided that they are based on the conclusions and recommendations of the technical feasibility studies prepared for such purpose.” Likewise, “External loans [...] must be channeled by the Ministry of Public Finance and be subject to the debt policy established by the State for the public sector.”
- 1.13 **Guyana.** Pursuant to the legislation on local government, “The local authority of a village or country district may, with the sanction of the Minister, borrow any sum of money required for the purpose of the district and may pledge the security of the rates and of the property generally of the local authority for the repayment of the loan together with interest.”
- 1.14 **Haiti.** Pursuant to the constitution, the President of the Republic “...negotiates and signs all international treaties, conventions and agreements and submits them to the ratification of the National Assembly.”

- 1.15 **Honduras:** According to the Honduran law, “Municipalities may contract loans and carry out other financial operations with any national institution, preferably a state institution. When loans are made with foreign entities, the procedures established in the Public Credit Law will be followed.” Likewise, the legislation establishes: “No public sector entity may initiate procedures to carry out external public credit operations without the written authorization of the Secretary of State in the Finance Office. The provisions of this article shall also apply to municipalities.....”and “...[external debt] contracts shall be subject to approval by the President of the Republic and their signing must be authorized by the National Congress.”
- 1.16 **Jamaica.** Pursuant to Jamaican law “...a Local Authority [Municipalities] may, with the approval of the Ministry responsible for finance, borrow any sums required by it for meeting its obligations or discharging any of its functions.”
- 1.17 **México.** According to the Constitution, the States may not in any case “...directly or indirectly contract obligations or loans with governments of other nations, with foreign companies or individuals, or when they must be paid in foreign currency or outside the national territory.” Similarly, the law on Financial Discipline of Federal Entities and Municipalities establishes that “Public Entities may not contract, directly or indirectly, Financing or Obligations with governments of other nations, with foreign companies or individuals, nor when they must be paid in foreign currency or outside the national territory.”
- 1.18 **Nicaragua.** In accordance with the laws of Nicaragua “Public sector institutions may contract public credit operations with guarantee or collateral on national or municipal assets or revenue in accordance with current legal norms and regulations.” Likewise, according to the legislation “Municipal governments may request and obtain short- and medium-term loans from public or private banks for the execution of works and for the provision and improvement of public services derived from their powers, duly approved by the respective Municipal Councils, in accordance with their Development Plans. The Municipality may guarantee these loans with up to 50% of its budgeted investment expenses, and with its personal movable and immovable property.”
- 1.19 **Panamá.** Pursuant to the Constitution of Panama, “The Municipalities may contract loans with prior authorization from the Executive Branch.”
- 1.20 **Paraguay.** According to the legislation of Paraguay, “The indebtedness resulting from the public credit operations of the municipalities shall be called “municipal public debt” and may arise from: [...] contracting of loans with financial institutions.” In addition, pursuant to the law “Loan contracts shall be valid and enforceable only if approved by the respective municipal legislature.”
- 1.21 **Perú.** According to the Peruvian legislation, “The external debt operations entered into by regional government or local governments may only be entered into with the guarantee from the national government....”

- 1.22 **República Dominicana.** Pursuant to the law of the Dominican Republic “...the municipalities may, in accordance with the provisions of the current Public Credit Law, enter into credit operations in all their modalities, both short, medium and long term, for the financing of their investments, as well as for the total or partial replacement of pre-existing operations.” In addition, the law states that “Before starting any process aimed at entering into public credit operations [...], the public bodies [...] must request, through the General Directorate of Public Credit, the prior approval of the Secretary of State for Finance, who will decide on its suitability within the framework of the national policy and strategy on debt matters defined by the Public Debt Council.”
- 1.23 **Suriname.** According to the constitution the “Conditions for the manner in which the State obtains loans shall be regulated by law.”
- 1.24 **Trinidad y Tobago.** In accordance with the Municipal Corporations Act “A Corporation may apply to the Minister for approval to borrow such sums of money as it considers necessary for the execution of any permanent works or of any works which it is authorized to execute under this Act or any other written law or for the repayment of any loan or part thereof or for any purpose...”.
- 1.25 **Uruguay.** As stated in its Constitution, “Departmental Governments may not issue departmental public debt securities, nor arrange loans or borrowings with international organizations or foreign institutions or governments, except at the proposal of the Mayor, approved by the Departmental Board, following a report from the audit tribunal and with the consent of the Legislative Branch, granted by an absolute majority of the total members of the General Assembly, in a meeting of both Chambers.”
- 1.26 **Venezuela.** Pursuant to the laws of Venezuela “... states, districts and municipalities, and the entities created by them, may not carry out external public credit operations, neither in foreign currency, nor guarantee third party obligations.”

Source: Project Team Analysis.

ANNEX IV. EVALUATION FRAMEWORK

- 1.1 This annex outlines the theory of change of the Sub-sovereign Finance Program (SFP) and discusses the main elements of the proposed evaluation, including the main evaluation questions and proposed methodology.

A. Theory of Change

- 1.2 The general objective of the SFP is to assist eligible SNGs promote sustainable regions and local development by improving access to market financing. The specific objectives of the SFP are (i) to strengthen SNGs fiscal and financial management, (ii) to strengthen SNG's capacities to structure and implement project pipelines, and (iii) to improve service delivery and infrastructure at the subnational level.
- 1.3 The three specific objectives are connected. Improving access to market financing requires SNGs to develop institutional capabilities to plan, structure and implement new investment projects (through improved sectoral governance, procurement practices, project planning and management, regulatory and risk management, among others). This will be attended to through Specific Objective 2. In turn, better fiscal and financial management capacity is essential to increase own revenue, enhance credit ratings to access debt, and manage debt repayment of large-scale investments. This will be addressed through Specific Objective 1. These 2 objectives will be complemented through the hands-on experience gained executing investment projects, which will involve learning by doing, will have demonstrational and multiplier effects, and in addition to increasing capacity, will achieve service delivery. Achieving the third specific objective is also expected to (i) help establish the minimum infrastructure/service delivery levels needed to address private sector concerns (e.g. economic viability, minimum regulatory standards, etc.) – particularly in those cases where service gaps are significant, or project profiles show a high risk or a low return–making SNGs more attractive to subsequent private sector investment and/or (ii) enable private sector financing (either in the case of a PPP or through attracting commercial cofinancing). **Figure 1** below presents the vertical logic leading to the program objective as well as indicative outcome and intermediate outcome indicators. These indicators are illustrative. Individual operations approved under the SFP will contribute to the overall achievement of the program's objectives.
- 1.4 Figure 1 in Annex IV presents a general sketch of the Program's vertical logic, serving as a reference for designing results matrices for individual projects. This sketch is illustrative; therefore, the vertical logic, including the wording of the General and Specific Objectives, may not be directly relevant to/appropriately reflect the characteristics of a given project. Consequently, individual projects should develop individual vertical logic frameworks and define general and specific objectives that, while consistent with the General Objective of the SFP, are appropriate to the intervention and context.

- 1.5 Figure 1 contains a summary of potential outcome indicators for the SFP, identifying some early outcome indicators which will serve to evaluate the pilot.¹ These outcome- and early outcome- indicators are divided by specific objective. In support of SFP Specific Objectives 1 and 2, a set of indicative outcome indicators are presented to enhance financial and technical institutional capacity of the SNGs, which will need to be tailored to each SNG specific challenges and proposed solutions. Similarly, a set of service delivery and access to infrastructure indicators will measure the outcomes obtained through the outputs related to closing the investment gap. Depending on the nature of the ensuing individual projects, indicators can be selected from the menu of SFP indicators (as well as other project-specific sector indicators) and adapted, as appropriate.² The type of the indicator will depend on the sector and specific nature of the Bank intervention and will need to be adapted from program to project (as a sole SNG will be targeted). Given the limited number of operations that will be implemented under the pilot, the aggregate value of each outcome indicator might be modest, thus the focus should lay on their transformational contribution to specific objectives.

¹ These indicators are illustrative (given the broad variety of projects that might be implemented) and have been selected to guide project teams.

² The illustrative Outcome Indicators that are measured in terms of the number of SNGs, should be adopted for evaluation at the Program level. SMART outcome indicators should be specified for individual projects according to their Objectives and interventions. When defining these outcome indicators at the individual project level, consideration should be given to reflecting the effective use of the products delivered by each project. Whenever possible, indicators from the Indicators Catalog should be used.

Figure 1

Determinants	Weak fiscal and financial capacities and creditworthiness	Weak capacity to structure and execute projects attracting private sector finance	Insufficient SNG investments to implement existing mandates
General Problem	Insufficient access to private sector finance to develop subnational territories		
General Objective	Assist eligible SNGs promote sustainable territorial regions and local development by improving access to market financing		
Specific Objectives	Strengthen SNGs capacities to take and manage debt	Strengthen SNGs capacities to develop and implement project pipelines	Improve service delivery and infrastructure at subnational level
Illustrative Outcome Indicators*	Own revenue growth: # SNGs with updated revenue systems and/or implementing land-based instruments/tariffs linked to project development. Public financial management: # SNGs with updated PFM systems. Debt management: # SNGs with updated debt management strategies.	Planning: # SNGs with updated land use plans. Sector Governance: # SNGs with sectoral plans (+ investment). Capital Budget: # SNGs with annual budgeted capital for infrastructure and services. Cost performance: # SNGs with improved monitoring & evaluation systems to ensure projects are on-track with the allocated budget Fiduciary: # SNGs with improved procurement/fiduciary systems.	Quality: # SNGs with improved services. Access: # SNGs with increased service coverage Resilience: # SNGs with reduced incidence of disaster damage (e.g flooding). Pollution and emissions: # SNGs with reduced emissions. Private Sector Participation: # SNGs incorporating private sector participation in capital investment plans.
Early Outcome Indicators**	Local autonomy: # SNGs with improved revenue autonomy (Own revenue/Total revenue). Fiscal transparency: # SNGs with timely and complete reporting of budget execution and debt strategy. Financing conditions: # SNGs with enhanced credit ratings.	Investment project management: # SNGs with project pipelines evaluated ex-ante for potential capital investment (technical and financial feasibility, market demand, etc.) / # SNGs with improved capital expenditure. Regulatory compliance: # SNGs with pipelines screened for compliance with regulations and standards. Risk management: # SNGs with effective strategies to mitigate risks (e.g. political, economic, and operational).	Investment: # SNGs investing in service delivery or infrastructure through sub-sovereign finance. Quality of Work: # SNGs that assess adherence to quality standards and specifications. Private Sector Participation: # SNGs conducting surveys/interviews with private sector to gauge interest/barriers to participation/# SNGs engaging in PPPs or commercial cofinancing.

* Indicators should be selected as applicable to each project

** These indicators will support the evaluation of the SFP pilot

B. Evaluation Strategy

1.6 The SFP pilot will be evaluated after the conclusion of its 5th year of implementation, when 8-10 projects are expected will have been approved, and their implementation will be underway.

1.7 **Evaluation Questions.** The evaluation will be organized around the standard OECD DAC evaluation criteria of relevance, effectiveness, efficiency and sustainability. The questions will cover both (i) early outcomes of the **individual operations** approved under the SFP and (ii) the SFP as a **mechanism**, and the extent to which it proves a feasible and scalable mechanism for the IDB.³

a. Relevance

- i. **Mechanism.** To which extent was the SFP Pilot designed to demonstrate the feasibility of intervening at the subnational level without SG?
- ii. **Individual Operations.** To which extent each individual operation approved under the SFP was relevant to address the financial and technical capacity challenges faced by the SNGs? To which extent each individual operation approved under the SFP was relevant to improving service delivery?

b. Effectiveness

Effectiveness will be measured through the early outcomes⁴ contained in Figure 1 which are the ones expected to be achieved by the time of the evaluation.

- i. **Mechanism.** To which extent has the SFP Pilot established the feasibility of intervening at the subnational level without SG? Specifically, to which extent has the program generated a portfolio of NSG operations with an acceptable level of operational and credit risk? To which extent is the SFP financially feasible as a long-term intervention strategy for the IDB? To which extent has the SFP succeeded in promoting the transition of SNGs to market financing?

³ As highlighted in the main text of the document, the pilot should generate evidence needed to evaluate (i) the SFP as an instrument – e.g. the potential market for SFP and demand for this product, new procedures for processing and supervision, new systems and institutional arrangements, personnel strength and (ii) early outcomes from the use of the instrument, outlining its potential for growth and/or challenges encountered. 1.1 The outline vertical logic (figure 1) will guide the evaluation of outcomes and can serve as a general guide in the design of individual operations, with objectives defined responding to project context. Selected sample indicators might also be adopted, as appropriate.

⁴ Considering that these early outcomes are not SMART outcome indicators to assess the effectiveness of the individual project at closure, they will not be considered in the Results' Matrix but will be included in specific Table in the individual operation's Monitoring, Evaluation and Learning (MEL) Annex.

- ii. **Individual Operations.** To which extent did each individual operation approved under the SFP achieve its objectives in terms of increasing financial and technical capabilities of SNGs? To which extent each individual operation approved under the SFP was relevant to improving service delivery?

c. **Efficiency**

- i. **Mechanism.** To which extent has the pilot been efficient at achieving its intended outcomes? To which extent were the costs of NSG loan preparation and implementation in line with comparators and compatible with the income generated from the operations?
- ii. **Individual Operations.** To which extent have the individual operations been implemented in a cost-efficient manner?

d. **Sustainability**

- i. **Mechanism.** To which extent do the operational efficiency and process indicators of the pilot make SFP a scalable long-term option for IDB intervention? What lessons can be compiled across pilot projects to benefit expansion of the pilot?
- ii. **Individual operations.** To which extent are the outcomes achieved by SFP operations (early outcomes) likely to be maintained in the future?

1.8 **Methodology.** The evaluation will use a combination of data collection and analysis methods to deliver its findings. The data will include portfolio information, internal Bank systems (cost, income, procedures), IDBG strategy and operational documents. Interviews and surveys with the stakeholders will be used to complement and triangulate information. The evaluation will also benchmark the SFP against comparable programs and individual operations in other MDBs and bilateral cooperation agencies.

1.9 **Ex-post Project Evaluation.** In addition to the SFP evaluation, individual operations approved within the SFP will be evaluated according to the Bank's regulations for ex-post evaluation for SG operations.

ANNEX V. PRELIMINARY BUDGETARY REQUIREMENTS FOR THE PILOT PERIOD⁽¹⁾

Function	Labor inputs		Cost (US\$'000)			
	Staff (HC) ⁽²⁾	Consultant (FTE)	TC 2025-2030	Admin Budget (2025-2030)		Transact. Budget (2026-2030)
				2025-2027 BP	2028-2030 Estimate ⁽³⁾	
Operational (structuring, execution)	3 new , 2 reassigned	3 new	1,500	1,450	150/Y 200	200/Y
Credit Risk	1 part-time	1 new	160	130	300	20
Legal Support	1 new	1 new	325	-	150/Y	40
Pricing/Finance	1 new	1 new	200	-	150/Y	-
ESG	1 new	-	600	-	150/Y	200
Integrity & Governance	-	1 new	200	-	120	-
Fiduciary	-	-	-	-	-	-

Source: Project Team estimates.

Notes:

- (1) All amounts are indicative and subject to subsequent financial and budgetary discussions with the Board
- (2) All reassigned staff are part-time, and inputs will vary over time, not allowing for a clear computation forecast at this stage
- (3) Some of the costs are one-time expenditure, primarily non-labor expenses. Conversely, most of the labor costs will be recurrent, thus staff costs indicated are annual

ANNEX VI.*

DOCUMENT OF THE INTER-AMERICAN DEVELOPMENT BANK

PROPOSED RESOLUTION DE-___/25

Sub-Sovereign Finance Program (SFP)

The Board of Executive Directors

RESOLVE:

1. To approve the “Sub-Sovereign Finance Program (SFP)” on a pilot basis for a period of five (5) years from the date of this Resolution, in accordance with the terms and conditions set forth in sections IV and V of document _____.

2. That up to the amount of US\$1,000,000,000 from the Bank’s Ordinary Capital resources will be allocated to the SFP for the purpose of financing investment loan and guarantee operations under Subprogram 1 of the SFP.

(Adopted on _____2025)